

ORIGINAL ARTICLE

Friend-Shoring Critical Minerals: Investment Law at the Intersection of Geo-economics and Treaty Restraint

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Abstract

This article examines how critical minerals (CM) supply security has been absorbed into the evolving concept of national security underpinning foreign investment screening (FIS), using Australia's treatment of Chinese CM investment as a case study. It argues that FIS now functions as a tool of strategic alignment through selective, opaque restrictions under the logic of friend-shoring. This shift raises structural tensions with Australia's obligations under international investment agreements (IIAs). Through analysis of Australia's FIS regime, its implementation shaped by a CM friend-shoring strategy, and potential conflicts with its IIAs with China, the article situates Australia within a broader global trend in which the expansion of FIS increasingly challenges the coherence of international investment law. It offers a novel conceptualization of FIS as a legal expression of the geoeconomic turn and proposes recommendations for reconciling strategic regulatory discretion with treaty-based commitments in an era of contested globalization.

Keywords: Foreign investment screening (FIS); critical minerals; international investment law; global supply chains; investor–state dispute settlement (ISDS)

1. Introduction

In an era of escalating geopolitical rivalry, the governance of cross-border investment in strategic sectors is undergoing a profound transformation. This shift is particularly pronounced in the global competition for critical minerals (CM) – resources that are indispensable to the green transition, digital innovation, and advanced manufacturing.¹ Recognizing the strategic value of CM assets, States are actively reconfiguring supply chains and asserting stronger sovereign control over upstream resources. In this context, foreign investment screening (FIS) mechanisms have emerged as powerful regulatory instruments,² increasingly deployed to restrict foreign access to strategic mining sectors. This trend signals a broader reorientation of the international economic order, in which the imperatives of national security and economic resilience are beginning to outweigh traditional commitments to investment liberalization under international investment law.

¹See generally, S. Kalantzakos (2020) 'The Race for Critical Minerals in an Era of Geopolitical Realignments', *The International Spectator* 55(3), 1.

²By October of 2025, there have been at least 37 countries that have introduced FIS mechanisms. UN Trade and Development (UNCTAD), 'Investment Policy Monitor', UNCTAD, 7 October 2025, 4, <<https://investmentpolicy.unctad.org/investment-policy-monitor>> (accessed 7 October 2025).

This research examines the evolving geopolitical realignment of global CM supply chains through the lens of Australia's FIS regime as applied to Chinese investment in the sector. It explores how this shift intersects with the legal constraints imposed by international investment agreements (IIAs). China's dominant position in the global supply of key CMs, such as rare earths, dysprosium, and lithium, combined with its expanding investment presence in resource-rich jurisdictions, has heightened strategic concerns among major economies.³ Australia, as a leading global supplier of mineral resources, has historically been a key destination for Chinese mining investment.⁴ However, since 2020, a significant regulatory shift has emerged. This shift is marked by the enhanced scrutiny of Chinese investments under Australia's reformed *Foreign Acquisitions and Takeovers Act 1975* (FATA),⁵ accompanied by a notable increase in published decisions restricting Chinese access to CM assets. These developments raise pressing legal questions about the predictability of Australia's FIS regime and, more critically, its consistency with Australia's obligations under multiple IIAs concluded with China.

Existing scholarship has analysed FIS regimes in major resource economies such as the US, the EU, and Australia,⁶ with some studies exploring the potential tensions between these regimes and the States' obligations under IIAs.⁷ Parallel strands of literature have examined Chinese outbound mining investment, focusing on the domestic policy drivers behind such investment and its broader geopolitical implications.⁸ However, to date, no legal scholarship has provided a comprehensive analysis of the structural tensions between the evolving landscape of geopolitical realignment and the liberalization commitments embedded in international investment law. This gap is particularly salient in the present geopolitical context, where State-led control over strategic resources increasingly clashes with the liberal investment norms embedded in international legal frameworks.

This paper conceptualizes the shifting ambit of national security underpinning FIS regime as a legal manifestation of the geoeconomic turn in global investment governance. Using Australia's response to Chinese CM investment as a case study, it argues that CM supply security has been incorporated within this ambit, reinforcing the use of FIS as a strategic instrument of economic alignment under the rationale of 'friend-shoring'. While advancing national security objectives, this shift gives rise to structural tensions between geopolitical realignment and the liberal commitments embedded in international investment law, particularly with respect to fair and equitable treatment (FET) and protection against unlawful expropriation under IIAs. The analysis situates Australia's approach within a broader global trend, demonstrating how State efforts to secure strategic supply chains increasingly challenge the legal coherence of the international investment regime.

The paper is structured as follows. [Section 2](#) outlines Australia's FIS regime, with emphasis on its growing focus on mineral security. [Section 3](#) analyses its application to Chinese mining investment, presenting evidence-based analysis of how Australia's CM strategy has driven the differential treatment of investments from allied States, using Japan as an example, and from China. [Section 4](#)

³See, e.g., D. Vergun (2025) 'Securing Critical Minerals Vital to National Security, Official Says', US Department of Defense, 10 January 2025, <www.defense.gov/News/News-Stories/Article/Article/4026144/securing-critical-minerals-vital-to-national-security-official-says/> (accessed 2 March 2025).

⁴As a result of this stance, Australia's mining industry is 86% foreign owned, H. Aulby (2017) 'Undermining Our Democracy: Foreign Corporate Influence through the Australian Mining Lobby', Australia Institute, 4 September 2017, <<https://australiainstitute.org.au/report/undermining-our-democracy-foreign-corporate-influence-through-the-australian-mining-lobby/>> (accessed 2 March 2025).

⁵*Foreign Acquisitions and Takeovers Act 1975* (Cth) (FATA).

⁶See, e.g., T. Voon and D. Merriman (2022) 'Incoming: How International Investment Law Constrains Foreign Investment Screening', *The Journal of World Investment and Trade* 24(1), 75.

⁷T. Voon and D. Merriman (2022) 'Is Australia's Foreign Investment Screening Policy Consistent with International Investment Law?', *Melbourne Journal of International Law* 23(1), 62.

⁸W. Zhou, V. Crochet, and H. Wang (2023) 'Demystifying China's Critical Minerals Strategies: Rethinking "De-risking" Supply Chains', *Chinese Law eJournal* 6(49), 1.

critically assesses the legality of Australia's FIS practices under its existing IIAs with China. [Section 5](#) provides recommendations to mitigate ISDS risks. [Section 6](#) concludes.

2. Australia's Foreign Investment Framework and Mineral Security Factor

Australia maintains a case-by-case screening regime for foreign investment primarily under FATA. This is supplemented by the *Foreign Acquisitions and Takeovers Regulation 2015* (FATR),⁹ as well as the *Foreign Investment Policy* regularly updated by the Treasury (*Policy*) and the detailed guidance notes on the screening regime (*Guidance*), issued by the Foreign Investment Review Board (FIRB) before 2024 and now by the Treasury.¹⁰ The regime is administered by the Treasurer, who serves as the sole decision-maker, with support from FIRB, Treasury, and the Australian Taxation Office.¹¹

The framework of Australia's policy is that foreign investment is permitted (and indeed encouraged) unless the Treasurer determines it to be contrary to Australia's national interests or security. In past decades, Australia has actively modified and tightened the framework in response to perceived risks and the changing national demands. Notably, on 1 January 2021, a comprehensive set of legislative reforms to the regime came into effect, comprehensively tightening the framework in response to national security concerns.¹² Following successive amendments in the interim, the Treasury announced further substantial enhancements on 1 May 2024, focusing on strengthening monitoring and enforcement while streamlining the review process.¹³

2.1 An Overview of Australia's FIS

Australia's framework provides both *ex-ante* screening and *ex-post* monitoring of foreign investment.¹⁴ In addition to the existing national interest test, the 2021 reform enhanced the framework through introducing a new national security test to capture investments associated with national security risks that would not otherwise trigger review, and by enhancing the retrospective review powers to ensure ongoing risk-management after investments have been established.

Under FATA, foreign investors seeking to acquire a 'direct interest'¹⁵ in an existing business are subject to mandatory pre-notification requirements and review under the national interest test only when their deal value exceeds specified monetary thresholds (classified as a 'notifiable action').¹⁶ Lower monetary thresholds generally apply to investments in 'sensitive businesses',¹⁷ agribusinesses, mining and production tenements, and lands.¹⁸ A zero-dollar threshold applies to investments by foreign government investors (FGIs), generally defined in FATR as entities with substantial foreign government ownership or control.¹⁹ In addition, all foreign investment in a 'national security

⁹ *Foreign Acquisitions and Takeovers Regulation 2015* (Cth) (FATR).

¹⁰ 'Australia's Foreign Investment Policy', The Treasury, 1 May 2024, <<https://foreigninvestment.gov.au/sites/foreigninvestment.gov.au/files/2024-04/australias-foreign-investment-policy.pdf>> (2024 Policy) (accessed 2 October 2025); See the latest Guidance Notes at 'Foreign Investment in Australia: Guidance', The Treasury, 8 August 2024, <<https://foreigninvestment.gov.au/guidance>> (accessed 2 October 2025).

¹¹ 'Foreign Investment in Australia', The Treasury, <<https://foreigninvestment.gov.au/investing-in-australia/about-us>> (accessed 2 October 2025). The FIRB was primarily responsible for implementing Australia's foreign investment framework but was downgraded in the 2024 reforms.

¹² *Foreign Investment Reform (Protecting Australia's National Security) Act 2020* (Cth).

¹³ 2024 Policy, supra n. 10, 3.

¹⁴ FATA, supra n. 5, s 40, 47, 54, 55, 56.

¹⁵ 'Direct interest' refers to holding at least 10% of a target entity, or 15% if supported by a legal agreement, or any level of interest if it enables the investor to influence the target's central management and control. FATR, supra n. 9, REG 16.

¹⁶ FATA, supra n. 5, s 47, 50.

¹⁷ *Ibid.*, s 26. 'Sensitive businesses' include media, telecoms, defence, and military-related supply of goods, security technology and communications system, and nuclear facilities, etc. FATR, supra n. 9, REG 22.

¹⁸ FATA, supra n. 5, s 50, 51, 52.

¹⁹ FATR, supra n. 9, REG 17.

business/land' ('notifiable national security action'²⁰) is subject to pre-notification and national security tests, regardless of deal value.²¹

Foreign investment that would result in substantial foreign influence over Australian businesses and their assets ('significant action')²² does not require mandatory pre-notification unless it is a notifiable action, but if not notified, FATA authorizes the Treasurer to 'call in' the transaction for a retrospective review under the national security test within 10 years after the action has been completed if national security risks emerge.²³ Foreign investment which is not captured by the rules mentioned above but which may nonetheless raise national security concerns ('reviewable national security action')²⁴ is also subject to the Treasurer's 'call-in' power.²⁵ In addition, FATA provides a 'last-resort' power, enabling the Treasurer, in exceptional circumstances, to unilaterally review investments that were lawfully admitted on the grounds that national security risks arise.²⁶

The Treasurer has sole discretion to determine whether an investment poses a risk to Australia's national interest or security. If a risk is identified, the Treasurer may prohibit the investment or approve it with tailored conditions.²⁷ For retrospective review, the Treasurer can impose new conditions or require divestment.²⁸ These decisions are final, except that the exercise of the last-resort power is subject to review by the Administrative Review Tribunal.²⁹ The Treasurer is under no legal obligation to make these decisions public.³⁰

However, neither FATA nor FATR defines 'national interest' or 'national security'.³¹ Despite the lack of definitions, the *Policy* provides an indicative list of general factors to be considered in the national interest review, which serves as a guide to the fundamental concepts.³² The factors include national security implications, competition implications, impacts on other government policies (including tax), consequences on the Australian economy and community, and the character of the investor and the target business, reflecting the broad meaning of 'national interest' under the foreign investment framework. In addition to the general factors, the *Policy* also outlines special factors for investment in certain businesses (including agriculture, media, and land) or investments made by FGIs.³³

2.2 The Role of Mineral Security under Australia's FIS

Although FATA and FATR do not explicitly address the mining sector (except for mining and production tenements, which are subject to a zero-dollar threshold³⁴), Australia's FIS regime has framed mineral security as a major concern in the reviews.

The 2024 *Policy* stresses the heightened scrutiny of foreign mining investment, stressing that investments in 'critical minerals' (along with investments in critical infrastructure, critical

²⁰FATA, supra n. 5, Division 4A.

²¹Ibid. s 55B. 'National security businesses' refer to businesses that involve critical infrastructure assets governed by the *Security of Critical Infrastructure Act 2018* (Cth). FATR, supra n. 9, REG 8AA.

²²FATA, supra n. 5, s 40.

²³Ibid. s 40, 55C.

²⁴Ibid. Division 4B.

²⁵Ibid. s 55D, 55E, 55F, 66A.

²⁶Ibid. s 79A, 79E.

²⁷Ibid. s 67, 74.

²⁸Ibid. s 79C, 79D, 79E.

²⁹Ibid. s 79A(2), 130A.

³⁰Economic References Committee, 'Greenfields, Cash Cows and the Regulation of Foreign Investment in Australia', Report, August 2021.

³¹Although the concepts are defined in some other Australian laws, the definitions are tailored to the purposes of their respective laws.

³²2024 *Policy*, supra n. 10, 9–11.

³³Ibid. 12.

³⁴FATA, supra n. 5, s 51.

technology, and those in proximity to sensitive Australian government facilities or involving sensitive data) will face greater scrutiny to protect the national interest.³⁵

The concept of 'critical minerals' was officially introduced by Geoscience Australia in 2019,³⁶ referring to minerals essential to Australia's economy and national security but susceptible to supply chain disruptions. Australia has expanded its list of CM to include 31 minerals as of October 2025.³⁷ Due to the strategic importance of the minerals for Australia's sustainable development, securing control over the mining and supply of them has become a matter of national security. FIRB's *Guidance 8* on national security test indicates foreign mining investment may raise national security risks due to the fact that some minerals are vulnerable to supply chain manipulation and disruption that could jeopardize Australia's national security.³⁸

The tightening of Australia's FIS regime has created a highly structured screening system for foreign investment in the CM sector. Specifically, Australia's CM resources are primarily metallic minerals (e.g. lithium, nickel, and rare earths) that can be used not only for civilian purposes but also for military applications. Under Regulation 22(2) of FATR, a business is classified as a 'sensitive business' if it is engaged in 'the manufacture or supply of goods, equipment, or technology able to be used for a military purpose.'³⁹ Accordingly, foreign acquisitions of Australian CM producers should trigger a lower monetary threshold for the Treasurer's review under the national interest test.⁴⁰ In addition, if an investment involves mining and production tenements or is proposed by a FGI, such as a State-owned enterprise (SOE), mandatory pre-entry notification is required, regardless of the deal value. Even when an investment does not trigger mandatory review, voluntary notification may be advisable to pre-empt the Treasurer's 'call-in' power.

These sophisticated screening rules arguably capture most major mining investments, particularly those from China, where the mining sector is dominated by large-scale, SOE-led investments.⁴¹ Consequently, foreign investors, especially those from China, can expect heightened scrutiny under Australia's FIS framework when seeking to acquire or expand holdings in the country's mining sector.

3. Australia's FIS and Chinese CM Investment: Strategic Selectivity in Practice

According to a joint report by KPMG and the University of Sydney (USYD), Australia's mining sector has historically been a major destination for Chinese direct investment, accounting for approximately 40% of total Chinese investment in Australia between 2006 and 2023.⁴² The period of 2009–2010 saw a sharp surge in Chinese investment in non-critical minerals, such as iron ore and coal, largely driven by China's rapid industrial expansion and growing demand for raw materials.⁴³ Since 2010, however, Chinese investors have increasingly targeted CM, recognizing their strategic value.

Like Australia, the Chinese government has formally acknowledged the importance of securing access to CM. The 2017 *National Mineral Resources Plan* outlines China's strategy for ensuring stable supplies of designated CM resources and explicitly encourages Chinese enterprises to invest in overseas CM assets.⁴⁴ The plan promotes the use of acquisitions, joint ventures (JV), and long-term supply agreements to secure access to CM deposits in resource-rich countries such as Australia.

³⁵ 2024 Policy, supra n. 10, 2, 7.

³⁶ Geoscience Australia, 'Critical Minerals at Geoscience Australia', Australian Government Geoscience Australia, 4 April 2023, <www.ga.gov.au/scientific-topics/minerals/critical-minerals> (accessed 3 March 2025).

³⁷ 'Australia's Critical Minerals List', Department of Industry, Science and Resources, 20 June 2023, <www.industry.gov.au/publications/australias-critical-minerals-list> (accessed 3 March 2025).

³⁸ FIRB, *Guidance 8: National Security Test*, 17 December 2020, 12.

³⁹ FATR, supra n. 9, REG 22(2)(b)(ii).

⁴⁰ The threshold is currently AUD 339 million. The Treasury, *Guidance 5: Mining*, 1 January 2025.

⁴¹ W.E. Kovacic (2017) 'Competition Policy and State-Owned Enterprises in China', *World Trade Review* 16(4), 693, 695.

⁴² KPMG and USYD, *Demystifying Chinese Investment in Australia 2024*, April 2024, 14.

⁴³ Ibid. 12.

⁴⁴ National Development and Reform Commission, 'National Mineral Resources Plan (2016–2020)', NDRC, 11 May 2017.

Despite continued support from the Chinese government for outbound mining investment,⁴⁵ Chinese investment in Australia's metals sector has been in decline since 2014,⁴⁶ with a 98.1% fall in the mining sector recorded between 2022 and 2023.⁴⁷ While this precipitous drop may be linked to several factors, including the deterioration of Australia–China relations⁴⁸ and Australia's shift in climate policy, such as the denial of permits for new coal projects following the 2022 federal election,⁴⁹ a factor that cannot be overlooked is the Australian government's increasingly frequent use of the FIS regime to restrict Chinese CM investment. This practice has attracted mounting criticism from Beijing. In January 2021, the spokesperson for China's Ministry of Foreign Affairs publicly accused Australia for the first time of politicizing the FIS regime and discriminating against Chinese investors.⁵⁰ In July 2023, following a meeting with the Australian Foreign Minister, Penny Wong, the Director of China's Office of the Central Commission for Foreign Affairs reiterated these concerns, condemning Australia's repeated reliance on national security grounds to block Chinese investment and urging Canberra to maintain a non-discriminatory business environment.⁵¹ These developments warrant scrutiny of Australia's FIS treatment of Chinese CM investment in recent years.

4. Chinese CM Investments under Australian FIS

Although the Treasurer is not obliged to publish FIS decisions, certain strategically significant cases are released on the Treasury website, occasionally accompanied by general explanations and conditions of approval. According to FIRB Annual Reports (pre-2022) and the Treasury's *Quarterly Report on Foreign Investment*,⁵² the Treasurer makes decisions on over 10,000 investment proposals annually. However, only a small fraction of these decisions is made public – primarily conditional approvals or outright rejections. As such, published decisions can be interpreted as indicative of the Australian government's regulatory posture toward particular types of investment.

Annex A compiles all published Treasury decisions concerning Chinese and Chinese-linked mining investments over the past two decades. It includes key transaction details such as investor identity, Australian target, mineral type, and the explanations or conditions attached to each decision. In practice, some decisions were disclosed through media releases or announcements by transaction parties. These decisions were less indicative of the government's formal position. Nonetheless, they are referenced in the discussion below as significant factual evidence.

As of March 2025, the Treasury has published 19 decisions concerning Chinese-linked mining investments. Prior to 2020, most of these involved non-critical minerals and were generally approved subject to conditions designed to limit Chinese ownership. These included minority equity caps and phased divestment requirements aimed at preserving Australian control over strategic resources.⁵³ Since 2020, the regulatory environment has become markedly more restrictive. The Treasury has

⁴⁵J. Du and X. Ji (2024) 'Assessing the Outward Foreign Investment Regulatory Regime in China: A Unified Outward Foreign Investment Law on the Horizon?', *Asia Pacific Law Review* 33(1) 128.

⁴⁶T. Lapi et al. (2025) 'China's Foreign Investments in the Metal Sector', *Miner Economics*, 12.

⁴⁷The decline was from AUD 1.81 billion in 2022 to AUD 34 million in 2023. KPMG and USYD, *supra* n. 41, 4.

⁴⁸Lapi et al, *supra* n. 46, 12.

⁴⁹W. Morgan and B. Newell (2025) 'Australia Is Set to Be a Renewables Nation. After Labor's Win, There's No Turning Back', UNSW, 7 May 2025, <www.unsw.edu.au/newsroom/news/2025/05/australia-renewables-nation-labor-win-no-turning-back> (accessed 3 March 2025).

⁵⁰Ministry of Finance of the PRC (MOFCOM), 'The Spokesperson of China's Ministry of Foreign Affairs Criticised Australia for Discriminating against Chinese Enterprises', 23 January 2021.

⁵¹Ministry of Foreign Affairs of the PRC (MFA), 'China and Australia Hold the Seventh Foreign and Strategic Dialogue', 20 March 2024.

⁵²FIRB, Foreign Investment Review Board Annual Report 2016–17, Report, 8 May 2018; FIRB, Foreign Investment Review Board Annual Report 2020–21, Report, 4 April 2022; See the latest quarterly reports at <<https://foreigninvestment.gov.au/news-and-reports/reports-and-publications>> (accessed 3 October 2025).

⁵³M. McGowan and R. Cook (2022) 'Western Range Iron Ore Project to boost WA Jobs and Businesses', Government of West Australia, 14 September 2022.

issued an unusually high number of adverse decisions relating to Chinese investment in the CM sector.⁵⁴ The post-2020 landscape features four outright rejections (two in 2020 and two in 2023), as well as a divestment order in 2024. These decisions contrast with Canberra's previously more permissive approach to Chinese involvement in Australia's CM sector.

Earlier, the Australian Government had permitted minority Chinese stakes in CM projects.⁵⁵ Since 2020, however, even minority acquisitions have been blocked under Section 67(1) of FATA. As detailed in Annex A, in August 2020, the Treasurer rejected Baogang Group's proposal to acquire an 11.1% stake in Northern Minerals, a producer of heavy rare earths including dysprosium, and Yibin Tianyi's bid for an 11.77% stake in AVZ Minerals, the majority owner of the Manono Lithium and Tin Project in the Democratic Republic of the Congo. This restrictive approach persisted into 2023. In February, the Treasurer prohibited Yuxiao Fund – a Singapore-registered vehicle linked to a Chinese investor – from increasing its 9.92% stake in Northern Minerals to 19.9%.⁵⁶ In July, a similar decision blocked Austroid Corporation, another Chinese-linked entity, from acquiring the remaining 90.1% of Alita Resources, an Australian lithium producer.⁵⁷

Economic tensions between Australia and China, exemplified by China's trade measures following Australia's 2020 call for a COVID-19 origins inquiry,⁵⁸ provide an important contextual backdrop for the Australian Government's heightened scrutiny of Chinese investment.⁵⁹ This scrutiny has been particularly pronounced in the CM sector. Notably, these four rejections were the only such decisions made by the Treasurer under the FIS regime between 2020 and 2023.⁶⁰ Most recently, in June 2024, after the de-escalation of the Australia–China trade war,⁶¹ the Treasurer ordered Yuxiao Fund and four other Chinese-linked entities to divest their stakes in Northern Minerals for breaching a 2023 prohibition order, as discussed further below.

Despite this tightening regulatory posture, Annex A highlights one significant exception: the approval of Shanghai Decent Investment Group's acquisition of a 20% stake in Nickel Industries, an Australian nickel miner.⁶² Unlike other rejected bids, this investment aligned with Australia's strategic interest in expanding downstream CM capabilities. The deal enabled Nickel Industries (originally focused on stainless steel) to pivot toward battery-grade nickel production through two Indonesian projects in partnership with Shanghai Decent, a subsidiary of Tsingshan Group, one of the world's largest nickel producers.⁶³ By integrating Nickel Industries into the global electric vehicle supply chain, the transaction potentially enhances Australia's position in the battery minerals market.

⁵⁴From 2013 to 2020, the Treasury did not publish decisions on Chinese mining investments. The Treasury did publish five decisions on Chinese investments in agriculture and four in infrastructure during the same period. See generally, T. Gu (2024) 'China's Latest Round of SOE Reforms and Its Implications for Chinese SOE Investment: The Case of Australia', PhD thesis, USYD.

⁵⁵As shown in Annex A, in 2017, the Treasurer approved two modest Chinese acquisitions: Sinomine Resource Group's 11.4% stake in Prospect Resources and Great Wall Motor Company's 3.5% stake in Pilbara Minerals – both below any control threshold.

⁵⁶S. Murdoch and K. Needham (2024) 'Chinese rare earths investor fails to win seat on Australia's Northern Minerals board', Reuters, 6 June 2024, <www.reuters.com/technology/cybersecurity/northern-minerals-cyberhacking-share-sale-order-unrelated-chairman-says-2024-06-06/> (accessed 4 October 2025).

⁵⁷K. Needham and L. Jackson (2023) 'Australia blocks acquisition of lithium mine by China-linked firm', 21 July 2023, <www.reuters.com/article/markets/currencies/australia-blocks-acquisition-of-lithium-mine-by-china-linked-firm-idUSKBN2Z106Q/> (accessed 4 August 2025).

⁵⁸W. Zhou and J. Laurenceson (2024) 'China has finally removed crushing tariffs on Australian wine. But re-establishing ourselves in the market won't be easy', UNSW, 15 April 2024, <www.unsw.edu.au/newsroom/news/2024/04/china-finally-removed-crushing-tariffs-Australian-wine> (accessed 4 October 2025).

⁵⁹Lapi et al., supra n. 46, 12.

⁶⁰The Treasury, Quarterly Report on Foreign Investment, October 2024, 4.

⁶¹Zhou and Laurenceson, supra n. 58.

⁶²Nickel Industries, 'FIRB approval received for placement to Shanghai Decent', Nickel Industries, 3 July 2023, <<https://nickelindustries.com/carbon/assets/2023/07/2572945.pdf>> (accessed 4 March 2025).

⁶³Nickel Industries, 'Notice of Extraordinary General Meeting', Nickel Industries, 2 June 2023, <<https://nickelindustries.com/carbon/assets/2023/06/2560899.pdf>> (accessed 4 March 2025).

4.1 Selectivity in FIS Operations: Policy and Geopolitical Drivers

Australia's increasingly restrictive stance toward Chinese investment in the CM sector is closely tied to its broader strategic objective of strengthening supply chain resilience and security, as articulated in the *Critical Minerals Strategy 2023–2030* released in June 2023.⁶⁴ At the core of this framework is a friend-shoring approach, which entails relocating production operations along global supply chains to politically aligned jurisdictions to reduce exposure to supply disruptions.⁶⁵ This approach has emerged as a manifestation of the wider decoupling trend, notably among advanced economies,⁶⁶ as they seek to mitigate vulnerabilities stemming from reliance on geopolitical rivals, particularly China, amid heightened geopolitical tensions.⁶⁷

This friend-shoring strategy, in substance, marks a departure from the liberal economic consensus that prioritized free markets and openness to foreign investment,⁶⁸ toward a form of economic nationalism,⁶⁹ in which economic policy and national security (of expanding ambit) are increasingly aligned to preserve critical supply security and industrial capacity.⁷⁰ Within this paradigm, Australia's selective use of the FIS regime in the CM sector plays a key role. It operates as a strategic instrument, enabling the country to regulate foreign CM investment in line with friend-shoring objectives.

4.2 Friend-Shoring and Strategic Alignment in the CM Sector

Australia's friend-shoring approach is articulated in its CM Strategy, which sets out the objective to 'create diverse, resilient and sustainable supply chains through strong and secure international partnerships'.⁷¹ Since 2021, Australia has advanced this commitment through both bilateral and multilateral collaborations with allied nations. At the bilateral level, it has forged strategic partnerships with the US, the EU, South Korea, Japan, and India to promote investment, technological cooperation, and trade in the CM sector.⁷² At the multilateral level, Australia participates in initiatives such as the Minerals Security Partnership, the Quad Critical Minerals Initiative, and the Indo-Pacific Economic Framework Supply Chain Agreement.⁷³

Australia pursues friend-shoring of CM supply chains through a combination of incentives and restrictions, a classic 'carrot and stick' approach. In the domain of foreign investment governance, the carrot takes the form of subsidies under the International Partnerships in Critical Minerals Program, which funds projects within Australia aimed at building end-to-end CM supply chains with partners from countries that have bilateral agreements with Australia.⁷⁴ The stick, however, manifests as the selectivity in FIS implementation toward CM investment.

This selective stance has been underscored by Treasurer Jim Chalmers at a November 2022 conference. After acknowledging China's entrenched dominance in global supply chains for rare earths, lithium, cobalt, and graphite, and warning that this concentration heightens the risk of disruption, he

⁶⁴Department of Industry, Science and Resources (DISR), *Critical Minerals Strategy 2023–2030*, 20 June 2023, 4.

⁶⁵A. da Rocha, L. Neves Marques da Fonseca, and C. Secches Kogut (2025) 'Deciphering Relocation Paths: A Systematic Literature Review of Near-Shoring and Friend-Shoring', *Journal of International Management* 31(5), 1, 3.

⁶⁶*Ibid.*; N. McDonagh (2025) 'US–China Competition, World Order and Economic Decoupling: Insights from Cultural Realism', *Australian Journal of International Affairs* 79(3), 364, 365.

⁶⁷McDonagh, *supra* n. 66, 364; S. Khorana et al. (2022) 'The Changing Contours Of Global Value Chains Post-COVID: Evidence from the Commonwealth', *Journal of Business Research*, 153, 75.

⁶⁸M. de Bolle and J. Zettelmeyer (2019) '19–15 Measuring the Rise of Economic Nationalism', PIIE working paper, 3.

⁶⁹J. Hauge, B. Houtzager, and A.J. Hörmann (2024) 'The new Economic Nationalism: Industrial Policy and National Security in the United States, China, and the European Union', *Geoforum*, 166, 1, 1.

⁷⁰Hauge, Houtzager, and Hörmann, *supra* n. 69, 3.

⁷¹DISR, *supra* n. 64, 4.

⁷²DISR, Appendix A: International Partnerships, 20 June 2023, latest updated on 7 July 2023.

⁷³*Ibid.*

⁷⁴Australian Government, 'International Partnerships in Critical Minerals' (*Business*), <<https://business.gov.au/grants-and-programs/international-partnerships-in-critical-minerals#overview>> (accessed 4 October 2025); See also L. Sinclair and N.M. Coe (2024) 'Critical Mineral Strategies in Australia: Industrial Upgrading without Environmental or Social Upgrading', *Resources Policy*, 91, 1, 5.

stated that ‘Australia would be more selective about who it lets invest in its growing CM industry.’⁷⁵ In practice, this stance has translated into Australia’s increasingly hardline application of the FIS regime in the CM sector, directed predominantly at investors from, or linked to, China, as discussed above. More importantly, it has resulted in differential FIS treatment, with Chinese CM investors subjected to heightened scrutiny compared to those from allied countries. This contrast will be examined in the following section.

Notably, Australia’s selective approach to FIS implementation reflects a broader global trend. In the context of intensifying global CM rivalry, major economies have similarly reformed their FIS regimes to embed friend-shoring selectivity into their design and (prospective) implementation. For example, Japan and the EU revised their FIS rules in 2021 and 2025, respectively, to require mandatory pre-entry screening of foreign CM investment.⁷⁶ In 2022, the Biden administration issued an executive order directing the Committee on Foreign Investment in the United States (CFIUS), in its review of investment, to view any transaction that shifts ownership or control of CM resources as a national security threat.⁷⁷ More overtly, in 2022, Canada issued a FIS guidance specifying that CM investment by foreign government-influenced investors from ‘non-like-minded’ countries constitutes *prima facie* grounds for determining the investment as a national security threat in FIS review.⁷⁸ As these countries (all CM partners of Australia) also place friend-shoring at the centre of their CM strategies to restore supply chain resilience,⁷⁹ these developments points to a CM ally-preference that will guide their FIS implementation.

This orientation is already evident in practice. Alongside Australia’s four rejections of Chinese CM investment since 2020, Canada in 2022 ordered the divestment of three Chinese companies from Canadian lithium producers, as discussed below. In the US, CFIUS divestiture orders have thus far targeted Chinese investment in the technology sector,⁸⁰ but Washington’s broader commitment to decoupling from China’s CM supplies,⁸¹ reinforced by Beijing’s ban on certain CM exports to the US since 2024,⁸² suggests divestiture is poised to extend to the CM sector.

Collectively, these developments demonstrate that friend-shoring selectivity has moved beyond rhetoric and is emerging as a strategic criterion shaping the operation of FIS regimes across major economies.

4.3 The Japan–China Contrast: Selectivity in Practice

A compelling illustration of this selectivity is the contrast between Japan and China in securing investments in Australia’s CM sector. Japan has been Australia’s key strategic partner in strengthening CM

⁷⁵J. Chalmers (2022) ‘Address to the Australian Critical Minerals Summit, Sydney’, Ministers’ Treasury Portfolio, 25 November 2022.

⁷⁶Ministry of Economy, Trade and Industry of Japan (METI), ‘Addition to the Core Business Sectors of the FEFTA to Secure Stable Supply of Critical Minerals’ (5 October 2021); European Parliament, ‘New Screening Rules for Foreign Investment in the EU’, 8 April 2025.

⁷⁷US, ‘Ensuring Robust Consideration of Evolving National Security Risks by the Committee on Foreign Investment in the United States, Executive Order 14083, 87 Federal Register 57369’ (2022).

⁷⁸Government of Canada, ‘Policy Regarding Foreign Investments from State-Owned Enterprises in Critical Minerals under the Investment Canada Act’, 28 October 2022.

⁷⁹V. Vivoda and R. Matthews (2024) “‘Friend-shoring’ as a Panacea to Western Critical Mineral Supply Chain Vulnerabilities”, *Mineral Economics* 37, 463.

⁸⁰See generally, H.K. Chen, (2021) ‘Applying Bright Lines to the “Black Box”: Article II Powers as a Tool for Reducing Uncertainty in CFIUS Reviews’, *George Mason Law Review* 28(3), 1181. See also US Department of the Treasury, Statement on the President’s Decision Prohibiting the Acquisition by Suirui Group Co., Ltd. of Jupiter Systems, LLC, 11 July 2025.

⁸¹L.R. Rowan (2015) ‘Critical Mineral Resources: National Policy and Critical Minerals List’, Congressional Research Service, 17 June 2025.

⁸²G. Baskaran and M. Schwartz (2024) ‘China Imposes Its Most Stringent Critical Minerals Export Restrictions Yet Amidst Escalating US–China Tech War’, CSIS, 4 December 2024), <www.csis.org/analysis/china-imposes-its-most-stringent-critical-minerals-export-restrictions-yet-amidst> (accessed 4 October 2025).

supply chains, having also participated in all the multilateral initiatives mentioned above. In October 2022, the two countries formalized their partnership by signing a bilateral agreement to enhance the security of CM supply chains.⁸³ The countries committed to cooperating to ensure a stable CM supply for Japan's advanced manufacturing industry and developing Australia's domestic CM sector (Para 1). This cooperation includes exploring co-financing for CM projects to catalyse private-sector investment (Para 2) and 'streamlining permitting processes' (Para 3), which arguably pertains, at least in part, to the FIS process for investment approval.

Although Australia does not explicitly grant preferential treatment to Japan or any other CM partners under FIS, its strategic partnership with Japan has evidently facilitated Japanese access to Australia's CM sector. According to Herbert Smith Freehills' annual Japan–Australia Investment Reports, Japanese companies made eight major acquisitions Australian CM producers between 2021 and 2023 (see Annex B for a compiled list of the Japanese investments).⁸⁴ In stark contrast, Chinese investors made only two major investments in Australia's metals sector during the same period, according to the China Global Investment Tracker, a dataset that monitors Chinese outbound investments exceeding USD 100 million since 2005.⁸⁵ Notably, both of the recorded investments were in non-critical minerals, namely CITIC's investment in the Sino Iron magnetite mining project in 2021 and the Baowu-Rio Tinto JV for the Western Range iron ore project in 2023, which has been discussed above.

The second notable contrast is that Japanese investors were allowed to acquire substantial stakes in Australia's CM assets between 2020 and 2023, an opportunity not extended to Chinese investors, as demonstrated above. Typical examples include, as listed in Annex B, the 30% acquisition of the Aurukun Bauxite Project in 2021 by Mitsubishi, a leading Japanese automobile manufacturer, and a series of acquisitions by Idemitsu Kosan, a major Japanese petroleum company, including a 32.22% stake in vanadium producer Critical Minerals Group in 2022, a 14.7% stake in the Debella Critical Minerals Project (a vanadium mine in Queensland), and a 15% stake in lithium explorer Red Dirt Metals in 2023, up from the 2.3% acquired earlier that year.⁸⁶ Given that the shares acquired in these transactions exceeded the 'direct interest' threshold under FATR and that the CM involved are dual-use, thereby qualifying as 'sensitive businesses' under FATA and triggering a lower review threshold, it is reasonable to conclude that these acquisitions were subject to review as 'notifiable actions' and successfully passed the Treasurer's national interest test under Section 51 of FATA.

The third notable contrast lies in Australia's differing approach toward Japanese and Chinese investments aimed at vertical integration with downstream customers in their respective home countries. For instance, Japan Australia Rare Earths (JARE), a JV between Sojitz and the Japan Organization for Metals and Energy Security (JOGMEC), a government-owned entity providing financial assistance and technical support to Japan's energy and metals industries, made two separate investments in Lynas Rare Earths in September 2022 and March 2023.⁸⁷ Notably, Sojitz has been the sole distributor of Lynas' rare earth products in Japan since 2011. These investments were accompanied by JARE's agreement with Lynas to supply up to 65% of the heavy rare earths extracted from Lynas' Mt. Weld exploration project to the Japanese market. Sojitz and JOFMEC explicitly stated that

⁸³Prime Minister's Office of Japan, Partnership between Japan's METI and Australia's DISR and DFAT Concerning Critical Minerals, 22 October 2022 [1].

⁸⁴I. Williams and S. Armstrong (2024) 'Japan–Australia Investment Report 2023', Herbert Smith Freehills (HFS), 15 April 2024, <www.herbertsmithfreehills.com/insights/2024-04/japan-australia-investment-report-2023-partners-in-prosperity> (accessed 6 October 2025).

⁸⁵The American Enterprise Institute and the Heritage Foundation (2023) 'China Global Investment Tracker', <www.aei.org/china-global-investment-tracker/> (accessed 6 August 2025).

⁸⁶I. Williams, D. Roberts, and T. Tomiyama, 'Japan–Australia Investment Report 2022', HSF, 24 March 2023, <www.herbertsmithfreehills.com/insights/2023-03/japan-australia-investment-report-2022-decarbonisation-and-energy-security> (accessed 6 October 2025).

⁸⁷Williams and Armstrong, *supra* n. 84.

the investment aimed to enhance Australia's role in Japan's CM supply chain while mitigating reliance on China's dominant market position.⁸⁸

In contrast, the prospect of vertical integration appears to have become a categorical disqualifier in Australia's screening of Chinese CM investment in recent years. The Treasurer's 2023 rejections of the Yuxiao Fund–Northern Minerals and Austroid–Alita Resources acquisitions were reportedly based on concerns over substantial ties to major Chinese downstream customers. Specifically, Yuxiao Fund was found to have links to China Northern Rare Earth Group and Shenghe Resources,⁸⁹ while Austroid's director was identified as the son of a major shareholder in Sichuan Western Resource, a Chinese lithium battery manufacturer.⁹⁰

Australia's contrasting treatment of Japanese and Chinese CM investments highlights the highly selective application of its FIS regime. This selectivity reflects the influence of friend-shoring as a key component of Australia's CM strategy. Reinforced by the broad discretion granted under FATA, this policy direction enables targeted restrictions on Chinese mining investments in line with Australia's strategic objective of securing CM supply chains through trusted partners.

It appears that Australia's friend-shoring selectivity in FIS operations, together with broader trends across major economies noted above, has significantly influenced the geographical direction of Chinese outbound mining investment. According to the Chinese government, over the past five years China's mining investment has continued to grow, yet its distribution has shifted away from Western jurisdictions, most prominently Australia, the EU, and the US, toward the Association of Southeast Asian Nations and Africa.⁹¹ While this reorientation may be welcomed by Australia and its CM partners, it nonetheless heightens the imperative to examine the legality of selective FIS implementation under international investment law.

5. The Legality of Australia's FIS Treatment of Chinese CM Investments under International Investment Agreements

Over the past few decades, Australia and China have developed a robust bilateral investment relationship, leading to the conclusion of multiple IIAs, including the *China–Australia Bilateral Investment Treaty* (CABIT),⁹² the *China–Australia Free Trade Agreement* (ChAFTA),⁹³ and the *Regional Comprehensive Economic Partnership* (RCEP).⁹⁴ Additionally, in 1993, Australia and Hong Kong signed a bilateral investment agreement,⁹⁵ which was replaced by the *Australia–Hong Kong Investment Agreement* (AHKIA) as part of the *Australia–Hong Kong Free Trade Agreement* concluded

⁸⁸ Sojitz Corporation, 'Securing Supply of Heavy Rare Earths to Japan with Additional Investment to Lynas', Sojitz, 7 March 2023, <[www.sojitz.com/en/news/article/20230307.html#:~:text=Japan%20Australia%20Rare%20Earth%20\(%E2%80%9CJARE,%E2%80%9D\)%2C%20an%20Australian%20rare%20earths](http://www.sojitz.com/en/news/article/20230307.html#:~:text=Japan%20Australia%20Rare%20Earth%20(%E2%80%9CJARE,%E2%80%9D)%2C%20an%20Australian%20rare%20earths)> (accessed 6 March 2025).

⁸⁹ B. Thompson, 'China Link to Fight for WA Rare Earths Mine', *Financial Review*, 26 November 2023, <www.afr.com/companies/mining/exposed-chinese-heavy-hitters-linked-to-rare-earths-battle-20231126-p5emt1> (accessed 4 March 2025).

⁹⁰ Needham and Jackson, *supra* n. 57.

⁹¹ MOFCOM, National Bureau of Statistics of China and State Administration of Foreign Exchange, *2024 Statistical Bulletin of China's Outward Foreign Direct Investment*. China Commerce and Trade Press, 12, 32–40.

⁹² Agreement between the Government of Australia and the Government of the PRC on the Reciprocal Encouragement and Protection of Investments (signed and entered into force 11 July 1988) [1988] ATS 14 ('CABIT').

⁹³ Free Trade Agreement between the Government of Australia and the Government of the PRC (signed 17 June 2015, entered into force 20 December 2015) [2015] ATS 15 (ChAFTA).

⁹⁴ Regional Comprehensive Economic Partnership (RCEP) Agreement (signed 15 November 2020, entered into force 1 January 2022) [2020] ATS 1.

⁹⁵ Agreement between the Government of Hong Kong and the Government of Australia (AHKIA) for the Promotion and Protection of Investments (signed 15 September 1993, entered into force 15 October 1993) [1993] ATS 30.

in 2019.⁹⁶ The four IIAs are concurrently in force,⁹⁷ constituting an IIA framework governing Australia and China's cross-border investment activities.

Spanning more than three decades, these IIAs offer a range of substantive protections to covered investments. These include among others, FET, most-favoured-nation treatment (MFN, which refers to the Parties' commitment to treatment no less favourable than that accorded to investments of nationals of any third country), national treatment (NT, which refers to the Parties' commitment to treatment no less favourable than that accorded to investments of their investors), and protection against unlawful expropriation.

Notably, all four IIAs, with the exception of the RCEP, grant investors the ability to institute ISDS arbitration to compel the host State to fulfil (some of) its commitments under the treaties. Accordingly, these agreements may provide legal avenues for Chinese CM mining investors to pursue ISDS claims against Australia in response to adverse FIS outcomes.

5.1 Preliminary Legal Conditions for Treaty-Based Challenges to Australia's FIS Measures

The network of Australia–China IIAs creates a complex legal framework that Chinese investors must navigate to determine whether and how they may challenge Australia’s FIS measures. Broadly, a Chinese investor’s ability to contest FIS decisions under IIAs hinges on three preliminary conditions that must be satisfied before the substantive merits of a claim can be addressed.

The first condition is whether the claimant qualifies as a covered investor. Australia's IIA framework extends treaty protections to all mainland Chinese investors, while AHKIA provides additional coverage for investments channelled through Hong Kong. Historically, many Chinese firms have strategically used Hong Kong-registered subsidiaries to facilitate outbound investment.⁹⁸ This form of 'onward-journeying' investment is driven by factors such as Hong Kong's advanced legal and financial services and easier access to international capital markets.⁹⁹ Unlike shell companies in tax havens, Hong Kong subsidiaries typically have substantive operations, making it more difficult for Australia to invoke the denial of the benefits clause under AHKIA or to allege abuse of rights during ISDS proceedings.¹⁰⁰ Moreover, Chinese investors who structure their Australian investments through Hong Kong or other offshore entities may still access treaty protections under CABIT and ChAFTA, both of which explicitly extend to 'indirect investments'.¹⁰¹

The second condition concerns whether the investment qualifies as a covered investment. The IIAs in force between Australia and China uniformly define covered investments as those ‘established in or lawfully admitted by’ the host State,¹⁰² thereby limiting protection to the post-establishment phase. In practice, this means that treaty protections apply only after the investment has been formally admitted. As discussed earlier, in the context of intensifying geopolitical CM competition and Australia’s friend-shoring strategy, it is increasingly plausible that Canberra may follow its allies in retrospectively reviewing or revoking previously approved Chinese investments in the sector on national interest or security grounds. Because the treaties extend protections to post-establishment investments,

⁹⁶Free Trade Agreement between Australia and Hong Kong, China and associated side letters (signed 26 March 2019, entered into force 17 January 2020) [2020] ATS 4.

⁹⁷T. Voon and E. Sheargold (2017) 'Australia, China, and the Co-Existence of Successive International Investment Agreements', C. Picker, H. Wang, and W. Zhou (eds), *The China Australia Free Trade Agreement: A 21st Century Model*. Hart Publishing, 227–233.

⁹⁸D. Sutherland, J.-F. Hennart, and J.R. Anderson (2019) 'How Does the Routing of FDI to and Via Tax Havens Confound Our Understanding of Chinese MNE Identity? A Critical Review of the Empirical Literature on Chinese MNEs', *Asian Business & Management* 18(5), 337, 341–2.

⁹⁹Ibid.

¹⁰⁰ AHKIA, supra n. 96, art.14.

¹⁰¹ CABIT, supra n. 92, art.I.1; ChAFTA, supra n. 93, art.9.1

(a). CABIT, supra n. 92, art.1.1.(b); ChAFTA, supra n. 93, art.9.1 (a); AHKIA, supra n. 96, art.1; RCEP, supra n. 94, art.10.1

such retrospective action may expose Australia to treaty-based claims. Notably, ChAFTA is the only treaty among the four that provides limited pre-establishment protections: its NT and MFN provisions explicitly extend to the establishment and acquisition stages.¹⁰³ Accordingly, ChAFTA could offer a legal basis for challenging Australia's admission-related FIS decisions.

The third condition is whether the dispute falls within the scope of the applicable treaty's ISDS clause. CABIT, ChAFTA, and AHKIA all include ISDS provisions, but the scope of arbitrable disputes varies considerably. CABIT, consistent with earlier-generation Chinese IIAs,¹⁰⁴ restricts ISDS to disputes concerning the amount of compensation for expropriation.¹⁰⁵ ChAFTA permits ISDS for certain breaches, including NT violations, but excludes non-discriminatory measures adopted for public welfare objectives.¹⁰⁶ AHKIA contains a broad ISDS clause covering disputes related to any treaty obligation, while expressly excluding Australia's FIS decisions on 'whether or not to approve a foreign investment proposal'.¹⁰⁷ This exclusion is arguably confined to admission-related decisions, leaving retrospective restrictions imposed under the call-in or last-resort powers arbitrable under ISDS. RCEP, by contrast, does not include an operative ISDS clause. While it outlines a work programme for future negotiations on ISDS,¹⁰⁸ Australia, along with other key RCEP parties, including New Zealand, Indonesia, and Malaysia, has formally indicated it will not consent to ISDS in future IIAs,¹⁰⁹ rendering the introduction of ISDS mechanism unlikely given the consensus requirement.

Taken together, these three threshold conditions suggest that Chinese investors may have plausible legal grounds to challenge Australia's FIS measures under existing IIAs, provided the measures can be shown to breach specific treaty obligations.

5.2 Pre-entry Screening: Unlikely to Result in Treaty Violation

As noted earlier, the only pre-establishment protections under the current Australia–China IIA framework are the NT and MFN provisions in ChAFTA, with ISDS permitted exclusively for disputes concerning NT violations.¹¹⁰ Notably, the NT provision in ChAFTA is non-reciprocal, with Australia's commitment extending to the pre-establishment stage while China's commitment is limited to the post-establishment stage.¹¹¹

With Australia adopting an increasingly hardline stance toward Chinese CM investments, affected investors may seek recourse under ChAFTA. They may argue that Australia's FIS regime discriminates between foreign investors and domestic mining companies, breaching the NT obligation under Article 9.3. The likelihood of such a claim succeeding, however, is dependent on a three-step test typically applied by ISDS tribunals.¹¹² As summarized by the *Methanex v. USA* tribunal, the test involves: firstly, whether the claimant is in 'like circumstances' with domestic investors; secondly, whether the

¹⁰³ ChAFTA, supra n. 93, art.9.3.

¹⁰⁴ M. Levine (2019) 'Towards a Fourth Generation of Chinese Treaty Practice', J. Chaisse (ed.), *China's International Investment Strategy*. Oxford University Press, 207.

¹⁰⁵ CABIT, supra n. 92, art.XII.2.

¹⁰⁶ ChAFTA, supra n. 93, art.19.12, 9.11.4.

¹⁰⁷ AHKIA, supra n. 96, art.24.1, annex III.

¹⁰⁸ However, the negotiations shall commence before 1 January 2024, RCEP, supra n. 94, art.10.8.1.

¹⁰⁹ H.S. Gao (2022) 'The Investment Chapter in the Regional Comprehensive Economic Partnership: Enhanced Rules Without Enforcement Mechanism', Discussion Paper No. 446, ERIA, September 2022, 16.

¹¹⁰ ChAFTA investment chapter is a work-in-progress IIA that defers most of the substantive protections to subsequent negotiations on a comprehensive Investment Chapter. V. Bath (2017) 'Substantive Provisions in ChAFTA's Investment Chapter', in C.B. Picker, H. Wang, and W. Zhou (eds), *The China–Australia Free Trade Agreement: A 21st-Century Model*. Hart Publishing, 195.

¹¹¹ ChAFTA, supra n. 93, art. 9.3. China has committed to shifting to pre-establishment NT supported by a negative list in the future negotiations.

¹¹² T. Weiler (2005) 'Saving Oscar Chin: Non-Discrimination in International Investment Law', in T. Weiler (ed.), *International Investment Law and Arbitration: Leading Cases from the ICSID, NAFTA, Bilateral Treaties and Customary International Law*. Cameron, 557, 567.

claimant received less favourable treatment; and thirdly, whether the differential treatment can be objectively justified by legitimate policy objectives.¹¹³ In the case of ChAFTA, an additional consideration is whether the non-conforming measure (NCM) exemption applies to the national treatment obligation.

Although Australia's CM industry is large as a whole, many specific mineral sectors are very small, often comprising only a handful of domestic producers. For example, the rare earths sector has only two major producers, Lynas Rare Earths and Iluka Resources.¹¹⁴ This makes it practically difficult for a Chinese company to identify an Australian comparator 'in like circumstances', namely one has a direct competitive relationship with it.¹¹⁵ In addition, the task of identifying a comparator in 'like circumstances' may be even more complex for Chinese SOE investors. They play a significant role in China's mining investments in Australia, such as Sinosteel Corporation, Minmetals Resources, and Baowu Group, as listed in Annex A. Some tribunals applied a strict interpretation of the 'like circumstances' test, additionally requiring comparability between the claimant and the domestic comparator in aspects such as operational status and business activities.¹¹⁶ Since Australia's mining sector is predominantly privately (foreign)-held,¹¹⁷ this requirement may pose a practical challenge for an SOE claimant to identify a comparable Australian mining SOE.

With respect to the differential treatment inquiry, there is broad consensus in ISDS jurisprudence that the national treatment obligation prohibits both *de jure* and *de facto* discrimination.¹¹⁸ Australia's FIS regime constitutes *de jure* discrimination, as FATA, by its terms (Section 29), applies exclusively to foreign investors. While a claimant may also attempt to establish *de facto* discrimination against Chinese investors in the FIS decision-making process, such a claim would be difficult to substantiate – unless, as in the *S.D. Myers v. Canada* case, the claimant provided ample evidence of discriminatory intent on the part of the host State government for protectionist purposes.¹¹⁹ The evidentiary burden, however, may be insurmountable for claimants in most cases, as the relevant information may only be available to the government, as acknowledged by the *Feldman v. Mexico* tribunal.¹²⁰

Although differential treatment between a Chinese investor and its domestic comparator may give rise to a presumption of an NT violation, such a claim may be set aside under Article 9.5 of ChAFTA, which exempts NCMs listed in Annex III from NT and MFN commitments. Australia's NCM schedule explicitly includes measures adopted under FATA and FATR.¹²¹ Notably, however, Article 9.5 applies only to existing NCMs and to amendments or modifications that do not 'decrease the conformity of the measure, as it existed immediately before the amendment'.¹²² As noted above, Australia has tightened the FIS regime, particularly through the 2021 reforms. These reforms arguably

¹¹³ *Methanex v. USA*, UNCITRAL (NAFTA), Final Award, 3 August 2005, Part IV, Ch. B, [13]. Some tribunals conflated the 'like circumstances' test with the consideration of policy justification. See, e.g., *S D Myers v. Canada*, Partial Award, 13 November 2000 [250]; *Pope & Talbot Inc v. Canada*, UNCITRAL (NAFTA), Award on the Merits of Phase 2, 10 April 2001 [78].

¹¹⁴ 'Rare Earth Elements', *Geoscience Australia*, 19 December 2023, <<https://ecat.ga.gov.au/geonetwork/home/api/records/8ba4d06d-a788-4403-b8ca-f79ac1b7c794>> (accessed 4 October 2025).

¹¹⁵ *S D Myers v. Canada*, supra n. 113, [198].

¹¹⁶ For example, the tribunal in *GAMI Investments v. Mexico* dismissed the NT claim on the basis that the claimant's expropriated sugar mills were insolvent. *GAMI Investments Inc v. Mexico*, UNCITRAL (NAFTA), Final Award, 15 November 2004 [114].

¹¹⁷ Fossil Fuel Mining, 'Australia's small mining industry', *Australia Institute*, 12 December 2024, <<https://australiainstitute.org.au/post/australias-small-mining-industry/>> (accessed 4 March 2025).

¹¹⁸ *Archer Daniels Midland Company and Tate & Lyle Ingredients Americas, Inc v. Mexico*, ICSID Case No. ARB(AF)/04/5 (NAFTA), Award, 21 November 2007, [193]; *Pope & Talbot Inc v. Canada*, supra n. 113 [43].

¹¹⁹ *S D Myers v. Canada*, supra n. 113 [251].

¹²⁰ *Marvin Roy Feldman Karpa v. Mexico*, ICSID Case No. ARB(AF)/99/1 (NAFTA), Award, 16 December 2002, [183]; endorsed by *Bayindir Insaat Turizm Ticaret Ve Sanayi A S v. Pakistan*, ICSID Case No. ARB/03/29, Award, 27 August 2009 [390].

¹²¹ ChAFTA, supra n. 93, annex III pt 1 s A art.1.

¹²² *Ibid.* art.9.5.1 (c).

reduce its compliance with the NT obligation under ChAFTA, as the regime now imposes additional prior notification and review requirements (as well as retrospective reviews) on foreign investors.¹²³ As a result, the ratchet qualification may potentially limit the availability of the NCM exemption in shielding Australia's FIS regime from an NT breach.

Despite the uncertain invocation of the NCM exemption, a Chinese investor's NT claim could still be dismissed by a tribunal at the third step of the 'like circumstances' test. Although ChAFTA does not provide for public interest justifications for discriminatory treatment, tribunals have broadly accepted that such treatment may be implicitly justified where it has 'a reasonable nexus to rational government policies' aimed at protecting the public interest.¹²⁴ Following this ISDS jurisprudence, FATA's objective of protecting national interest and security (as set out in Section 3) could plausibly justify the Australian government's implementation of pre-entry scrutiny exclusively for foreign investors under FATA.

Accordingly, Australia's FIS operations in relation to Chinese CM investments are unlikely to constitute an NT violation under ChAFTA. As such a claim would likely fail to satisfy the three-step test applied by ISDS tribunals, particularly at the policy justification stage, if it is not set aside by Australia's NCM exemptions scheduled in Annex III, as a result of the ratchet clause.

5.3 Retrospective Restrictions: Likely FET and Expropriation Breaches

Chinese mining companies already hold substantial stakes in Australia's strategic mineral assets. In the lithium sector, for example, the Mount Marion and Greenbushes mines rank among the world's largest producers and together account for more than half of Australia's output. Chinese firms Tianqi Lithium and Ganfeng Lithium hold controlling stakes of 51 and 50%, respectively.¹²⁵ Given the government's increasingly restrictive approach to Chinese CM investment at the admission stage, it is plausible that the Treasurer may invoke retrospective review powers to target existing holdings on national security grounds. As noted, the Australia–China IIAs primarily extend protections to post-establishment investments. A close examination of the call-in and last-resort mechanisms under FATA suggests that applying these powers to established Chinese investments would likely breach provisions under CABIT and AHKIA, thereby exposing Australia to potential ISDS claims.

5.3.1 Increasing Prospect of Retrospective Review in the CM Sector

As demonstrated in Section 2, Australia's 2021 FIS reforms significantly expanded the Treasurer's authority to conduct retrospective review of established investments. The Treasurer is authorized to exercise the call-in power to initiate a review within ten years of a transaction's completion, where the investment is considered to pose national security risks.¹²⁶ In addition, the Treasurer may invoke the last-resort power in exceptional circumstances, including where: (1) the business structure, or organization of the investor has materially changed; (2) the investor's activities have materially changed; (3) the investor's circumstances or the market have materially changed; or (4) the Treasurer becomes aware of a materially false or misleading statement or mistake in the investor's original notification.¹²⁷

Australia's exercise of retrospective review powers to impose additional conditions on, or mandate the divestment of, existing Chinese holdings in CM assets may be justified on the statutory ground that Australia's CM landscape has materially changed, with soaring global demand and growing supply chain vulnerabilities linked to reliance on China intensifying national security concerns and rendering continued Chinese ownership an unacceptable risk.

¹²³Voon and Merriman, *supra* n. 7 75–77.

¹²⁴*Pope & Talbot Inc v. Canada*, *supra* n. 113 [78]; *S D Myers v. Canada*, *supra* n. 113 [250]; *Parkerings–Compagniet A S v. Lithuania*, ICSID Case No. ARB/05/8, Award, 11 September 2007 [368].

¹²⁵'Lithium', *Geoscience Australia*, 19 December 2023, <https://d28rz98at9flks.cloudfront.net/126759/ARR_Lithium_2018.pdf> (accessed 4 October 2025).

¹²⁶FATA, *supra* n. 5, s 55C.

¹²⁷*Ibid.* s 79A(1)(b).

This prediction is reinforced by three key observations. First, Australia's concerns over CM security are likely a key driver of its enhancement of the FIS retrospective review mechanism. The 2021 FATA amendment, as explained in the Explanatory Memorandum, was in response to emerging national security risks.¹²⁸ *Guidance 8* specifically identifies investment in CM extraction and processing as potentially posing such risks, which may trigger retrospective review under the national security test.¹²⁹ Importantly, more recently, Australia's Critical Minerals Office warned that foreign CM investments that have not been reported to the FIRB for review could constitute foreign interference in the CM sector and urged Australian companies to report such risks to government.¹³⁰ Taken together, these developments heighten the likelihood that Australia will subject existing CM investments to retrospective review.

Secondly, Australia's partners in CM supply alliances have already ordered the divestment of Chinese investments in the sector under their FIS regimes. A notable example is Canada, where the *Investment Canada Act* also grants the Industry Minister the authority to order foreign investors to divest if their investments are deemed potentially 'injurious to national security'.¹³¹ In November 2022, Canada's Minister exercised this power to order three Chinese firms, including two Hong Kong-based entities, to divest from three Canadian lithium producers following a retrospective national security review by the National Security and Intelligence Community. The decision explicitly referenced threats to CM supply chains.¹³² Notably, Chengze Lithium was prohibited from selling its stake to any entity under the influence of the Chinese government,¹³³ reinforcing Canada's broader strategy of limiting China's control over domestic CM resources.

The third observation is that Australia's Treasurer has already exercised last-resort powers in relation to Chinese investments in critical infrastructure. In 2021 and 2022, the Australian government launched two separate reviews to reassess national security risks associated with Chinese private company Landbridge's 99-year lease of the Port of Darwin.¹³⁴ Although both reviews concluded that there was no national security justification to unwind the deal,¹³⁵ they illustrate Australia's predisposition to reassess established Chinese investments in strategic sectors for potential national security risks.

5.3.2 Divestment Order as a Likely Unlawful Expropriation under CABIT and AHKIA

Both CABIT and AHKIA prohibit unlawful expropriation, with disputes arising from this obligation falling within the scope of ISDS. The expropriation clauses in the treaties explicitly extend to measures having an effect equivalent to expropriation, namely indirect expropriation.¹³⁶

Investment tribunals have generally interpreted indirect expropriation as measures that do not involve overt takings but nonetheless result in a 'substantial deprivation' of the investor's investment and effectively neutralizing the commercial value of the investment.¹³⁷ As noted in [Section 2](#), a retrospective review may result in the imposition of conditions or even mandatory divestment of the investment if irreducible national security risks are identified. Applying the consequentialist approach

¹²⁸The Parliament of the Commonwealth of Australia, 'Explanatory Memorandum for Foreign Investment Reform (Protecting Australia's National Security) Bill 2020', 8.

¹²⁹Guidance 8, *supra* n. 38, 12.

¹³⁰DISR, 'Safeguarding against Foreign Interference in the Critical Minerals Sector', 6 March 2025.

¹³¹*Investment Canada Act* (Canada), s 25.2, 25.3, 25.4.

¹³²Government of Canada (2022) 'Government of Canada orders the divestiture of investments by foreign companies in Canadian critical minerals companies', Government of Canada, 2 November 2022.

¹³³D. Greer, (2025) 'After Chinese company divested from Calgary lithium firm, mystery firm stepped in', *CBC*, 20 February 2025, <www.cbc.ca/news/canada/calgary/lithium-china-calgary-canada-1.7463714> (accessed 4 March 2025).

¹³⁴H. Zu (2022) 'A New Perspective on Motivations Behind Chinese Overseas Investment: A Case Study on the Darwin Port Deal', *Australian Journal of Politics & History* 68(3), 467.

¹³⁵*Ibid.*

¹³⁶AHKIA, *supra* n. 96, art.10.1; CABIT, *supra* n. 92, art.VIII.1.

¹³⁷R. Dolzer, U. Kriebaum, and C. Schreuer (2022) *Principles of International Investment Law*. Oxford University Press, 104.

commonly adopted by tribunals in determining the existence of indirect expropriation,¹³⁸ while the imposition of conditions may, in most cases, merely introduce new compliance burdens for Chinese mining investors, a divestment order could reasonably be found to meet the threshold for indirect expropriation, as it results in the fundamental destruction of the investor's ability to continue business operations. This is supported by Canada's divestment order against Chengze Lithium, in which the Chinese investor was given only 90 days to divest its stake in Lithium Chile Inc., a measure which plausibly amounted to a total deprivation of the investment.¹³⁹

CABIT and AHKIA set out four cumulative conditions for the legality of expropriation, whether direct or indirect: the measure must be for a public purpose, non-discriminatory, accompanied by reasonable compensation, and carried out in accordance with the law (CABIT) or due process of law (AHKIA).¹⁴⁰ However, the application of retrospective review powers under FATA to restrict Chinese investments in the CM sector is unlikely to satisfy these conditions, primarily due to the Australian government's overtly selective approach to foreign investment in this strategically sensitive area.

The public purpose requirement is unlikely to be contentious. The FIS regime's stated objective of protecting national interest and security, along with the underlying rationale for reducing Chinese holdings in Australia's CM sector to secure domestic supply, would likely be recognized by a tribunal as for a legitimate public purpose, given its importance to a country's political independence and economic development.¹⁴¹

The non-discrimination requirement is likely the most vulnerable point in assessing the legality of Australia's retrospective divestment order as a form of indirect expropriation. As demonstrated in, the Australian Treasurer has acknowledged a selective approach to foreign CM investment under the friend-shoring strategy, which has evidently led to contrasting treatment of investments from allies such as Japan and from China. In this context, an affected Chinese mining investor may be in a strong position to challenge the legality of the expropriation before a tribunal. may represent a particularly vulnerable point of the legality of Australia's retrospective divestment order as a form of indirect expropriation. As demonstrated in Section 3, the Australian Treasurer has acknowledged a selective approach to foreign CM investment under the friend-shoring strategy, which has evidently led to contrasting treatment of investments from allies such as Japan and from China. In this context, an affected Chinese mining investor may be in a strong position to challenge the legality of the expropriation before a tribunal.

To demonstrate that the expropriation was discriminatory, the investor must first identify a comparator in similar situations before establishing differential treatment.¹⁴² An ideal comparator would be a company operating in the same mineral sector from one of Australia's CM partner countries, such as Japan. Australia might nevertheless argue that a Japanese investor is not in a comparable situation to a Chinese investor, because it originates from a partner country. However, that defence is unlikely to succeed. The non-discrimination requirement for lawful expropriation, which is also recognized under customary international law, is intended to prevent differential treatment of investors based on nationality.¹⁴³ This indicates that the requirement inherently encompasses the geopolitical relationship between the host and home States. Denying comparability on this basis would therefore deprive the requirement of substantive effect. In addition, it is arguable that Australia could seek to deny the existence of discrimination on the ground that it also prohibits investment from other countries in

¹³⁸ W.M. Reisman and R.D. Sloane (2003) 'Indirect Expropriation and its Valuation in the BIT Generation', *British Yearbook of International Law* 74, 115, 115, 121.

¹³⁹ Government of Canada, *supra* n. 132.

¹⁴⁰ CABIT, *supra* n. 92, art.VIII.1; AHKIA, *supra* n. 96) art.10.1.

¹⁴¹ The tribunal in *Kardassopoulos* found that the development of Georgia's oil pipeline infrastructure served a public purpose, given its importance to the country's political independence and economic development. *Ioannis Kardassopoulos v. Georgia*, ICSID Case No. ARB/05/18 and *Ron Fuchs v. Georgia*, ICSID Case No. ARB/07/15, Award, 3 March 2010, [391].

¹⁴² M. Bungenberg et al. (eds) (2015) *International Investment Law: A Handbook*. Hart, 1022–3.

¹⁴³ *Ibid.* 1022.

the same sector.¹⁴⁴ However, as of October 2025, the Treasurer has not rejected any CM investment originating from States other than China.

Notably, the mere fact that a Chinese investor's project was expropriated while a comparable Japanese investment remained unaffected would not, in itself, establish discrimination.¹⁴⁵ However, such differential treatment may be found discriminatory if the Chinese investor can demonstrate that it was based on nationality.¹⁴⁶ Australia's broader CM strategy, and its selective implementation, could provide strong evidence to this effect.

A key piece of evidence is the public statements by the Treasurer and other Commonwealth officials that frame the friend-shoring strategy as part of Australia's CM policy and emphasize a more 'selective approach' to foreign investment, with references to concerns over China's dominance in the sector.¹⁴⁷ These statements may serve in arbitration as direct evidence that the retrospective divestment order was issued because of the investor's Chinese nationality. This approach is corroborated by the tribunal's reasoning in *Eureko v. Poland*,¹⁴⁸ where the refusal to carry out an IPO guaranteed to the investor was found to constitute discriminatory expropriation. The tribunal based its decision on similar official statements, noting that 'these measures have been proclaimed by successive Ministers of the State Treasury as being pursued in order to keep PZU (the target) under majority Polish control and to exclude foreign control'.¹⁴⁹

In addition, factual evidence may also support a claim of discriminatory expropriation. For instance, if the Treasurer were to order a Chinese investor to divest from an Australian CM company on national security grounds, and the same asset was subsequently approved for acquisition by a foreign investor from a strategic partner country, such a sequence could serve as compelling evidence of nationality-based discrimination. A similar evidentiary approach was adopted in *LETCO v. Liberia*, where the tribunal found discriminatory expropriation based on evidence that areas of the concession taken away from LETCO were granted to other foreign investors.¹⁵⁰ Given the Australian Government's assertive CM policy of favouring investment from friend-shoring partners while constraining Chinese participation, such a discriminatory outcome is reasonably foreseeable in practice.

The remaining conditions for lawful expropriation under CABIT and AHKIA further weaken the legal defensibility of Australia's FIS-based retrospective restrictions on Chinese mining investments. With respect to compensation, neither FATA nor FATR explicitly provides any compensation mechanism for investors subject to retrospective review under the call-in or last-resort powers. Under CABIT's 'in accordance with the law' condition, a tribunal may only assess whether the contested restrictions are issued in compliance with FATA.¹⁵¹ In contrast, AHKIA's due process standard may require an examination of whether the investor was afforded fundamental procedural protections. As summarized by the tribunal in *ADC v. Hungary*:

Some basic legal mechanisms, such as reasonable advance notice, a fair hearing, and an unbiased and impartial adjudicator to assess the actions in dispute, are expected to be readily available and accessible to the investor to make such legal procedure meaningful. In general,

¹⁴⁴ *Libyan American Oil Company (LIAMCO) v. Libya*, Award, 12 April 1977, (1981) 20 ILM 1, 60.

¹⁴⁵ *Amoco International Finance Corporation v. Iran, et al*, Partial Award No. 310-56-3, 14 July 1987, 15 IUSCTR 189 [141].

¹⁴⁶ *Ioannis Kardassopoulos v. Georgia*, supra n. 141 [393]; *Kuwait v. American Independent Oil Company (Aminoil)*, Award, 24 March 1982 [87].

¹⁴⁷ See, e.g., Chalmers, supra n. 75.

¹⁴⁸ *Eureko B V v. Poland*, Ad Hoc Arbitration, Partial Award, 19 August 2005.

¹⁴⁹ *Ibid.* [242], [243].

¹⁵⁰ *Liberian Eastern Timber Corporation (LETCO) v. Liberia*, ICSID Case No. ARB/83/2, Award, 31 March 1986, [338].

¹⁵¹ Bungenberg et al., supra n. 142, 1028.

the legal procedure must be of a nature to grant an affected investor a reasonable chance within a reasonable time to claim its legitimate rights and have its claims heard.¹⁵²

The retrospective review mechanism under Australia's FIS framework arguably falls short of the due process standard. As noted above, the Treasurer's decisions under FATA are final. These decisions are statutorily exempt from administrative review,¹⁵³ and Australian case law indicates that courts tend to uphold the Treasurer's broad discretion in determining the admission of foreign investment under FATA.¹⁵⁴ Importantly, the FIS regime affords investors only limited procedural rights to be heard – an issue that not only raises questions regarding compliance with AHKIA's due process requirement for expropriation, but may also implicate potential breaches of the FET obligation, as analysed in the following section.

5.3.3 Retrospective Review as a Likely FET Breach under AHKIA

CABIT, RCEP, and AHKIA all provide FET protection, but only AHKIA permits claims arising from alleged FET breaches to be brought through ISDS. The FET is a broad standard, the precise contours of which remain subject to ongoing debate.¹⁵⁵ AHKIA Article 8.2 clarifies that the FET includes 'the obligation not to deny justice in criminal, civil or administrative adjudicatory proceedings in accordance with the principle of due process.'¹⁵⁶ In addition to procedural duties, investment tribunals, and academic commentary have widely recognized that the FET standard also encompasses substantive obligations on the part of host States. These include the duty to protect investors' legitimate expectations,¹⁵⁷ maintain a stable and predictable legal framework,¹⁵⁸ and refrain from arbitrarily discriminatory treatment of foreign investors in the exercise of regulatory sovereignty.¹⁵⁹

Based on the analysis of Australia's FIS regime above, the Treasurer's future exercise of retrospective review powers under FATA does not appear to constitute an obvious infringement of the substantive duties under the FET standard. Specifically, Australia's consistent tightening of the FIS regime in recent years makes it unlikely that Chinese investors could reasonably form a legitimate expectation that their investments would be exempt from retrospective scrutiny or restrictions under FATA – unless the Australian government had made an explicit representation to that effect,¹⁶⁰ which is unlikely in practice. Despite Australia's frequent reforms to its FIS regime, which do not, in themselves, amount to a breach of the FET obligation,¹⁶¹ the government has implemented measures to enhance transparency and predictability of the regime, primarily through the regular publication

¹⁵² *ADC Affiliate Limited and ADC & ADMC Management Limited v. Hungary*, ICSID Case No. ARB/03/16, Award, 2 October 2006, [435]. The criteria were applied in *Ioannis Kardassopoulos v. Georgia*, supra n. 141 [395]–[404].

¹⁵³ *Administrative Decisions (Judicial Review) Act 1977* (Cth) sch 1(h).

¹⁵⁴ *Canwest Global Communications Corporation and Others v. Treasurer of the Commonwealth of Australia* [1997] FCA 730; *Cathy Pacific Airways Limited v. Assistant Treasurer and Minister for Competition Policy and Consumer Affairs* (2010) 186 FCR 168; *Marie Madeline Wight v. The Honourable Chris Pearce, MP, Parliamentary Secretary to the Treasurer* (2007) 157 FCR 485.

¹⁵⁵ See generally, M. Paparinskis (2013) *The International Minimum Standard and Fair and Equitable Treatment*. Oxford University Press.

¹⁵⁶ In ISDS practice, the FET standard is generally interpreted to uphold due process in administrative and judicial proceedings. C. McLachlan, L. Shore, and M. Weiniger (2007) *International Investment Arbitration: Substantive Principles*. Oxford University Press, 227.

¹⁵⁷ H. Mairal (2010) 'Legitimate Expectations and Informal Administrative Representations', S.W. Schill (ed.), *International Investment Law and Comparative Public Law*. Oxford University Press, 413, 426.

¹⁵⁸ M. Hirsch (2011) 'Between Fair and Equitable Treatment and Stabilization Clause: Stable Legal Environment and Regulatory Change in International Investment Law', *Journal of World Investment & Trade* 12, 783.

¹⁵⁹ R. Kläger (2011) 'Fair and Equitable Treatment', *International Investment Law*. Cambridge University Press, 187–197.

¹⁶⁰ An example of such a representation can be found in *Duke Energy v. Ecuador*, where the tribunal recognized a clear assurance given by the host State. *Duke Energy Electroquil Partners & Electroquil SA v. Ecuador*, ICSID Case No. ARB/04/19, Award, 18 August 2008 [351]–[352].

¹⁶¹ Tribunals have widely accepted that the FET clause should not be understood as a guarantee that the host State's legal framework will remain unchanged. *CMS Gas Transmission Co v. Argentina*, ICSID Case No. ARB/01/8, Award, 12 May 2005 [274]; *Parkerings-Compagniet AS v. Lithuania*, supra n. 124 [300].

of the *Foreign Investment Policy, Guidance, and Quarterly Reports* by the Treasury. These measures arguably satisfy the standard articulated by the *Tecmed v. Mexico* tribunal, which held that the host State must ensure that investors 'know beforehand any and all rules and regulations that will govern its investments, as well as the goals of the relevant policies and administrative practices and directives',¹⁶² thereby providing a stable and predictable framework for investors' business planning and decision-making.¹⁶³ In addition, although the broad discretion that FATA grants to the Treasurer to intervene in established investments on national security grounds creates the possibility of factual discrimination in implementation, tribunals have generally found a FET violation only where the differential treatment amounts to 'bad faith', 'arbitrariness', or 'gross unfairness or injustice'.¹⁶⁴ This extremely high threshold imposes a substantial evidentiary burden on claimants, and such claims may succeed only in exceptional cases.

In contrast, it is readily apparent that the procedures for retrospective review under FATA fall short of the due process standard. AHKIA does not further clarify the requirements of due process in administrative adjudicatory proceedings. However, ISDS jurisprudence has consistently construed administrative due process as centring on procedural transparency, especially as embodied in the right to a fair hearing and the right to participate in the administrative process.¹⁶⁵ A well-established line of cases has found FET violations where the host State denies the investor any possibility of participation, or provides only limited opportunities to present its position in the taking of decisions that are able to cause serious economic loss to the investor.¹⁶⁶ In the 2020 decided *Global Telecommunications v. Canada*, the tribunal found that Canada's FIS review, which resulted in the prohibition of the investor's proposed acquisition, constituted a violation of the FET obligation, based in part on the finding that the investor was not given an adequate opportunity to present its case during the review.¹⁶⁷ In addition, some tribunals have further held that the FET obligation requires host States to provide reasons for their decisions, which must be grounded in sufficient factual evidence.¹⁶⁸

However, the level of procedural transparency in the retrospective review mechanisms under FATA appears to fall significantly short of the due process requirements typically associated with the FET standard. While Australia has introduced reforms to the FIS regime aimed at improving procedural clarity and timeliness,¹⁶⁹ the statutory framework governing retrospective review mechanisms (i.e. the last-resort and call-in powers) continues to lack sufficient transparency.

A central concern is the limited obligation imposed on the Treasurer to disclose the rationale behind decisions that affect investors. Under the amended FATA, the Treasurer is required to provide reasons in only two specific circumstances. First, when exercising the last-resort power, the Treasurer must issue a written notice including the reasons for determining that a national security risk exists, unless such disclosure would prejudice Australia's national security interests (Section 79B). Second, when extending the review period beyond 30 days, a written notification must be provided to the investor, outlining the reasons for the extension (Section 77A(2)), such as tax risks or proximity to sensitive government facilities.¹⁷⁰

¹⁶² *Técnicas Medioambientales Tecmed SA v. Mexico*, ICSID Case No. ARB(AF)/00/2, Award, 29 May 2003 [154].

¹⁶³ *Metalclad Corporation v. The United Mexican States*, ICSID Arbitral Tribunal, Case No. ARB(AF)/97/1, Award, 30 August 2000 [99].

¹⁶⁴ Bungenberg, *supra* n. 142, 731–733.

¹⁶⁵ F.M. Palombino (2018) *Fair and Equitable Treatment and the Fabric of General Principles*. Springer, 78–79.

¹⁶⁶ *Metalclad v. Mexico*, *supra* n. 163 91; *Tecmed v. Mexico*, *supra* n. 162 [122]; *Bayindir v. Pakistan*, *supra* n. 120 [344]–[348]; *Rumeli Telekom AS et al. v. Kazakhstan*, ICSID Case No. ARB/05/16, Award, 29 July 2008 [623].

¹⁶⁷ *Global Telecom Holding SAE v. Canada*, ICSID Case No. ARB/16/16, Award, 27 March 2020, [573]–[582].

¹⁶⁸ *Metalclad v. Mexico*, *supra* n. 163 [93]; *Rumeli v. Kazakhstan*, *supra* n. 166 [617]; *Glamis Gold Ltd v. USA*, UNCITRAL (NAFTA), Award, 8 June 2009, [616]; *TECO Guatemala Holdings v. Guatemala*, ICSID Case No. ARB/10/23, Award, 19 December 2013 [458].

¹⁶⁹ For instance, Section 77 of FATA introduces a 30-day limit on the decision-making period, subject to extensions where necessary.

¹⁷⁰ 2024 Policy, *supra* n. 10, 8.

Another significant limitation concerns the restricted statutory opportunities for investors to be heard during the review process. The only formal engagement requirement arises when the Treasurer invokes the last-resort power, which obliges the authority to take reasonable steps to negotiate in good faith with the investor to address or mitigate the identified national security risks before issuing a final order.¹⁷¹ In all other cases, including retrospective reviews initiated through the call-in power, there is no statutory obligation for the Treasurer to justify decisions or engage with the investor prior to making a final decision.¹⁷²

This suggests that the Australian Treasurer's exercise of the call-in power, if conducted strictly in accordance with FATA, would result in decisions rendered *in absentia*. Given that the call-in power can be exercised up to ten years after the completion of an investment, any restrictions imposed retrospectively could result in considerable losses for investors, particularly in the case of mining investments, which typically involve substantial up-front capital expenditure. Accordingly, a decision *in absentia* may reasonably lead a tribunal to find a violation of the due process element of the FET standard.¹⁷³

Although FATA incorporates procedural transparency safeguards for the exercise of the last-resort power, compliance with the FET standard ultimately depends on how these safeguards are implemented in practice. Evidence from Australia's recent FIS operations indicates that, even where some degree of investor communication has reportedly occurred in practice, the process remains largely opaque. For example, following the Treasurer's 2023 decision to block Austroid's proposed acquisition of Alita Resources, the investor stated that it was unable to discern the basis for the rejection, despite its 'full cooperation and detailed responses' to government inquiries during the review process.¹⁷⁴

It is worth noting that ISDS tribunals have consistently applied a high threshold for procedural transparency when assessing compliance with the FET standard. The *Metalclad* tribunal, for example, found a breach of FET where the denial of a construction permit lacked evidentiary support grounded in legitimate criteria under domestic law and was motivated primarily by political considerations.¹⁷⁵ The decision underscores the central importance of substantiated reasoning in satisfying the FET standard, particularly as a safeguard against decisions influenced by political factors. In this light, the discretion afforded to the Australian Treasurer under FATA to withhold reasons for decisions made pursuant to the last-resort power on national security grounds presents a potential risk of inconsistency with Australia's FET commitment under AHKIA. This risk is especially pronounced in circumstances where retrospective reviews target Chinese CM investments, as it may be difficult for the Treasurer to justify such decisions in non-political, security-neutral terms – thereby increasing the likelihood that reasons will be withheld altogether.

Accordingly, Australia's retrospective review framework raises concerns regarding its compatibility with the FET obligation under AHKIA, particularly in review scenarios based on the call-in power. In light of the Treasurer's broad discretion in implementing the FIS regime, the extent to which the current framework can deliver the level of procedural fairness required under Australia's FET commitment in AHKIA remains an open question – though current practice strongly suggests a negative answer.

5.4 Treaty Exceptions: Limited and Uncertain Application to Mineral Security Measures

All current Australia–China IIAs, except the decades-old CABIT, include general and security exceptions clauses intended to preserve regulatory space for the Parties in relation to covered investments.

¹⁷¹ FATA, supra n. 5, s 79F(c).

¹⁷² Ibid. s 66A.

¹⁷³ Some tribunals required that the disputed administrative decision must be able to cause a serious economic loss to the investor. Palombino, supra n. 165. 79.

¹⁷⁴ Murdoch and Needham, supra n. 56.

¹⁷⁵ *Metalclad v. Mexico*, supra n. 163 [93].

As demonstrated above, Australia's pre-establishment screening and restrictions on Chinese investment fall within the scope of the NT obligation under ChAFTA (though a breach is unlikely), while its retrospective security reviews and resulting divestment orders are likely to breach the FET and expropriation clauses under AHKIA. This raises the further question of whether Australia may rely on the relevant exceptions clauses to preclude liability – a possibility which, as the analysis below suggests, is doubtful.

5.4.1 *General Exceptions: Unlike to be Invocable*

Both ChAFTA and AHKIA include general exceptions clauses, although only AHKIA's applies to the investment commitments.¹⁷⁶ Article 18 of AHKIA, modelled on GATT Article XX and GATS Article XIV, provides that a host State's investment obligations do not preclude it from adopting measures necessary or related to achieving certain specified public policy objectives. The relevance of Article 18 in the context of a Chinese mining investor's claim depends on whether Australia could justify its retrospective reviews and the resultant restrictions on the CM investment by reference to any of those listed objectives.

The most plausible basis for justification would be the protection of 'public morals or public order', which are debated concepts in international investment law.¹⁷⁷ However, AHKIA clarifies that this exception applies only where a 'genuine and sufficiently serious threat is posed to one of the fundamental interests of society',¹⁷⁸ thereby establishing a high evidentiary threshold. Australia would need to demonstrate that the continued presence of Chinese investment in the CM sector constitutes such a threat. In addition, Australia must also establish a direct nexus between the measure and the stated objective and demonstrate that the measure is necessary.¹⁷⁹ Following the approach adopted in WTO jurisprudence, tribunals may apply a rigorous necessity test, undertaking a holistic assessment of the importance of the objective pursued and requiring Australia to establish that no reasonably available alternative measure could achieve the same objective with a less restrictive impact on international commerce than the contested measure imposed on Chinese investment.¹⁸⁰

Australia might alternatively seek to invoke the exception for measures 'relating to the conservation of exhaustible natural resources, if such measures are made effective in conjunction with restrictions on domestic production or consumption'.¹⁸¹ While most of Australia's 31 designated CM resources qualify as exhaustible resources, this exception would not apply unless the contested measures are accompanied by corresponding domestic restrictions. In practice, however, Australia's CM strategy prioritizes the expansion of resource development rather than the limitation of domestic production, thereby undermining any attempt to rely on this exception.

5.4.2 *Security Exceptions: Uncertain but Likely to Apply*

Both the ChAFTA and the AHKIA contain security exceptions clauses. Article 16.3 of ChAFTA directly incorporates Article XXI of the GATT and Article XIV bis of the GATS, *mutatis mutandis*, while Article 19 of AHKIA is largely modelled on the same WTO provisions. These clauses exempt a Party from its treaty obligations when it adopts measures that 'it considers necessary for the protection of its essential security interests'.

¹⁷⁶ The general exceptions clause in ChAFTA does not apply to Chapter 9. ChAFTA, *supra* n. 93, art.16.2.1

¹⁷⁷ *Ibid.* art.18.1.1.

¹⁷⁸ AHKIA, *supra* n. 96, n. 9.

¹⁷⁹ A.D. Mitchell, J. Munro, and T. Voon (2018) 'Importing WTO General Exceptions into International Investment Agreements: Proportionality, Myths and Risks', in L. Sachs, L. Johnson, and J. Coleman (eds), *Yearbook on International Investment Law & Policy 2017*. Oxford University Press, 323–331.

¹⁸⁰ Appellate Body Report, *US – Measures Affecting the Cross-Border Supply of Gambling and Betting Services*, WT/DS285/AB/R, 20 April 2005, [306]; Appellate Body Report, *Brazil – Measures Affecting Imports of Retreaded Tyres*, WT/DS332/AB/R, 17 December 2007 [143], [156].

¹⁸¹ AHKIA, *supra* n. 96, art.18.1.5.

As noted earlier, Australia may seek to justify its restrictions on Chinese CM investment by invoking national security concerns. Specifically, it may argue that allowing Chinese entities to maintain or expand their holdings in Australia's CM resources could compromise national security. A Chinese mining conglomerate may seek to acquire substantial interests in Australia's CM producers or mine owners to achieve vertical integration. Such integration could potentially undermine Australia's efforts to develop self-reliant or ally-supported CM supply chains, increasing Australia's dependence on Chinese supplies and elevating the risk of supply disruptions, whether intentional or incidental.

However, Australia's concerns in this scenario centre around long-term risks that CM supply dependence could erode national autonomy and resilience, rather than immediate military threats historically viewed as shielded by WTO-modelled security exceptions clauses.¹⁸² This raises the critical question of whether such economic and strategic vulnerabilities fall within the scope of the security exceptions clauses in ChAFTA and AHKIA.

Although the chapeau 'it considers necessary' in these clauses could be read as suggesting that their invocation rests solely on the discretion of the Parties, namely as entirely 'self-judging',¹⁸³ WTO jurisprudence has generally been reluctant to adopt such an interpretation.¹⁸⁴ In *Russia–Measures Concerning Traffic in Transit*, the Panel held that an entirely self-judging interpretation would be 'contrary to the security and predictability of the multilateral trading system established by the GATT and the WTO Agreements'.¹⁸⁵ Therefore, if Australia sought to invoke the security exceptions clauses in ChAFTA or AHKIA, it would be subject to a tribunal's objective review of whether the circumstances specified in the clauses for invoking the exceptions are met.¹⁸⁶

Among the enumerated circumstances, the most plausible basis for Australia to justify its FIS restrictions on Chinese critical minerals investment is that the measure was taken during an 'emergency in international relations'.¹⁸⁷ Ostensibly, Australia's concerns over CM supply security arising from Chinese influence suggest an inter-State economic conflict with implications for international relations. The Panel in *US–Steel and Aluminium* held that economic conflicts in international relations may also constitute an 'emergency in international relations', provided their gravity or severity is at least comparable to war in terms of their impact on international relations.¹⁸⁸

Given this, Australia would face considerable difficulty in demonstrating that CM supply vulnerabilities meet the requisite threshold of gravity. A particularly instructive precedent is *US–Steel and Aluminium*, where the Panel rejected the US justification for imposing duties on steel and aluminium imports, namely severe global excess steelmaking capacity, holding that the circumstances did not reach the level of gravity and severity required to constitute an 'emergency in international relations' under Article XXI of the GATT.¹⁸⁹

The other plausible circumstance for justifying Australia's retrospective restrictions on Chinese CM investment is that the measure is 'relating to the traffic in ... goods and materials for the purpose

¹⁸² W.J. Moon (2012) 'Essential Security Interests in International Investment Agreements', *Journal of International Economic Law* 15(2), 481, 499.

¹⁸³ *CC/Devas (Mauritius) Ltd v. Republic of India* (Award on Jurisdiction and Merits), PCA Case No. 2013-09, 25 July 2016 [219]; *Deutsche Telekom AG v. Republic of India* (Interim Award), PCA Case No. 2014-10, 13 December 2017 [265], [285], [291].

¹⁸⁴ See generally, K.W. Alexander (2023) 'The 2022 US Steel/Aluminum Tariff Ruling: A Legal Reckoning for the United States and the WTO Over the National Security Exception in International Law', *American University Law Review* 72(4), 1137.

¹⁸⁵ Panel Report, *Russia – Measures Concerning Traffic in Transit*, WT/DS512/7, 29 April 2019 [7.79] (*Russia–Traffic in Transit*). See also Panel Report, *US – Certain Measures on Steel and Aluminium Products*, WT/DS564/22, 24 February 2023 [7.108] (*US–Steel and Aluminium*).

¹⁸⁶ *Russia–Traffic in Transit*, supra n. 184, [7.82], [7.101], [7.102].

¹⁸⁷ GATT art.XXI(b)(iii).

¹⁸⁸ *US–Steel and Aluminium*, supra n. 184 [7.139]. In *Russia–Traffic in Transit*, the Panel held that inter-State economic conflicts would not be 'emergencies in international relations' unless they gave rise to defence and military interests, or maintenance of law and public order interests. *Russia–Traffic in Transit*, supra n. 184, [7.75], [7.76].

¹⁸⁹ *US–Steel and Aluminium*, supra n. 184, [7.135], [7.147], [7.148].

of supplying a military establishment'.¹⁹⁰ Its relevance rests on the fact that many CM resources have potential military applications. However, invocation of this circumstance requires a 'close and genuine relationship of ends and means' subject to objective determination.¹⁹¹ Establishing such a nexus may be difficult for Australia because of the dual-use nature of CM. The divestment order targeting Chinese ownership in Northern Minerals illustrates this challenge. Following the order, Northern Minerals agreed to supply all concentrate from its Browns Range project to Australian company Iluka Resources, which operates Australia's first fully integrated rare earth refinery.¹⁹² However, the refinery's outputs are reportedly used not only in defence applications but also in civilian industries such as electric vehicles and wind turbines.¹⁹³ This multiplicity of end uses renders the objective nexus between the divestment order and a military-supply rationale highly contestable.

However, in contrast to the WTO security exceptions clauses,¹⁹⁴ the list of covered measures in AHKIA appears to be illustrative, as Article 19 introduces the list with the term 'include'.¹⁹⁵ The *CMS v. Argentina* tribunal, for instance, applied a broadly worded security exceptions clause that did not specify a list of covered measures to shield Argentina's suspension of the currency convertibility regime during an economic crisis, reasoning that:

If the concept of essential security interests were to be limited to immediate political and national security concerns, particularly of an international character, and were to exclude other interests, for example major economic emergencies, it could well result in an unbalanced understanding of Article XI. Such an approach would not be entirely consistent with the rules governing the interpretation of treaties.¹⁹⁶

In an era when CM resources have become the cornerstone of technological advancement and economic security,¹⁹⁷ Australia's restrictions on Chinese CM investment, when justified on national security grounds, could arguably be more closely aligned with the intent of the security exceptions clause than the kind of economic recovery measures considered in the *CMS v. Argentina* case, and thus may be shielded by Article 19 of AHKIA. Despite the more limited language of ChAFTA's security exceptions clause, a tribunal may apply a broad interpretation that includes such restrictions.

Notwithstanding the potential applicability of the security exceptions clauses to Australia's FSI-based restrictions on Chinese CM investments, their scope of protection is far from absolute. Australia should therefore exercise greater caution in implementing its FSI regime to avoid breaching substantive obligations in the first instance.

¹⁹⁰The provision reads: '[measures] relating to the traffic in arms, ammunition and implements of war, and to such traffic in other goods and materials as is carried on directly or indirectly for the purpose of supplying a military establishment'. GATT, art.XXI(b)(ii).

¹⁹¹*Russia–Traffic in Transit*, supra n. 184) [7.69]. See also Appellate Body Reports, *China – Measures Related to the Exportation of Rare Earths, Tungsten, and Molybdenum*, WT/DS431/AB/R, WT/DS432/AB/R, WT/DS433/AB/R, 7 August 2014 [5.90].

¹⁹²ILUKA, 'Strategic Partnership with Northern Minerals Rare Earths Concentrate Supply', ILUKA, 26 October 2022) <www.iluka.com/media/fgajciyc/iluka-resources-asx-strategic-partnership-with-northern-minerals.pdf> (accessed 4 October 2025).

¹⁹³*Ibid.* 1, 2.

¹⁹⁴The list of circumstances in these clauses is generally interpreted as exhaustive in WTO dispute settlement practice. See, e.g., *US–Steel and Aluminium*, supra n. 184 [7.113].

¹⁹⁵Footnote 10 of AHKIA provides: 'For greater certainty, measures referred to in paragraph 1(b) include: (i) (ii) ...'

¹⁹⁶*CMS Gas v. Argentina*, supra n. 161.

¹⁹⁷V. Vivoda, R. Matthews, and N. McGregor (2024) 'A Critical Minerals Perspective on the Emergence of Geopolitical Trade Blocs', *Resources Policy* 89, 104587.

6. Implications and Recommendations

China has strengthened its institutional capacity to respond to such developments. In 2021, Beijing mandated SOEs to enhance their familiarity with international dispute settlement mechanisms and host States' legal frameworks in order to better safeguard their interests in overseas operations.¹⁹⁸ Concurrently, it launched a national arbitration training initiative with the objective of preparing 3,000 legal professionals in international arbitration by 2025.¹⁹⁹

This strategic emphasis on legal preparedness may incentivize Chinese investors, particularly SOEs, facing restrictions under Australia's FSI regime to pursue recourse through IIA-based ISDS, especially where such measures are viewed as discriminatory or lacking procedural fairness. This trend is supported by recent data: since 2020, Chinese investors have initiated 11 of the 19 known ISDS claims, indicating a growing willingness to invoke IIA protections in response to perceived discriminatory treatment.²⁰⁰

In light of the above, this research offers following targeted recommendations to Australia concerning the implementation and prospective reforms of the FIS regime, as well as the future renegotiation of ChAFTA Chapter 9, with the aim of reducing its potential exposure to ISDS claims brought by Chinese investors.

6.1 *Cautious Regarding Retrospective Intervention*

As a preliminary matter, the Treasurer should exercise caution when intervening in established Chinese CM investments, whether through the call-in or last-resort power, given the risk of breaching Australia's FET obligation under AHKIA. Particular caution is warranted when considering a divestment order targeting Chinese investments. Australia's assertive CM policy, especially its publicly stated objective of 'friend-shoring' CM supply chains, could provide affected investors with direct evidence to support claims that such measures amount to unlawful expropriation taken in a discriminatory manner. Even absent a finding of discrimination, the failure to provide reasonable compensation could still constitute a breach of the expropriation clauses under CABIT and AHKIA.

6.2 *Strengthen the Administrative Due Process in Call-in and Last-resort Powers*

If Canberra deems it strategically necessary to reduce existing Chinese holdings in the future, such as to achieve full supply chain decoupling from China in coordination with allies, it would be prudent for the government to consider introducing communication and reasoning obligations for the exercise of the call-in power under FATA or, if more readily amended, under FATR. These obligations, similar to those already applicable to the last-resort power, would help ensure that investors are afforded statutory safeguards of procedural fairness.

When exercising retrospective review powers, the Treasurer should undertake thorough fact-finding and evidentiary verification prior to issuing a final decision. It is inadvisable for the Treasurer to withhold the reasoning behind a decision by relying broadly or abusively on national security grounds, as authorized under Section 79B(1) of FATA. While Australia, like most advanced economies with FIS regimes,²⁰¹ prefers not to publicize FIS decisions and their underlying reasoning in order to preserve regulatory discretion, ensuring greater transparency vis-à-vis the investor does

¹⁹⁸ 'Opinions on Further Deepening the Construction of Central Enterprises under the Rule of Law', People's Republic of China, The Central SASAC, 17 October 2021.

¹⁹⁹ Ministry of Justice, 'Circular for the Promotion of International Trade on the Implementation of Foreign Arbitration Talent Training Programme', 11 April 2022.

²⁰⁰ China Trade News, 'International Arbitration is the Preferred Method of Resolving Cross-Border Disputes' *China Trade News*, 30 November 2021, <www.chinatradenews.com.cn/epaper/content/2021-11/30/content_75721.htm> (accessed 7 September 2025).

²⁰¹ See generally, Voon and Merriman, *supra* n. 7.

not conflict with this broader policy stance and would significantly reduce Australia's vulnerability to FET claims.

6.3 ChAFTA Investment Chapter Renegotiation

In ChAFTA, the Parties committed to exploring the inclusion of FET, expropriation provisions, and a more comprehensive ISDS mechanism in future negotiations.²⁰² While such negotiations appear unlikely amid ongoing geopolitical tensions, should they proceed, Australia should approach them with caution – particularly regarding the inclusion of FET and expropriation within the scope of ISDS, which is likely to broaden the legal grounds for Chinese investors to initiate claims against the State. This caution would be consistent with Australia's publicly stated opposition to the inclusion of ISDS clauses in future IIAs.²⁰³

In addition, Australia could use the opportunity of future negotiations to update its schedule of NCMs to explicitly cover measures taken under FATA and FATR as they existed prior to the adoption of the new chapter. This would more effectively insulate Australia's pre-establishment restrictions on Chinese investment from potential NT claims. Alternatively, Australia might consider removing the ratchet clause altogether to preserve greater regulatory flexibility for future FIS reforms. Such an approach would also align with China's interests, given its commitment to adopt pre-establishment NT based on a negative list in the future chapter and its significant reforms to its own FIS regime, now codified in the 2020 *Foreign Investment Law*.²⁰⁴

7. Conclusion

By examining Australia's selective implementation of FIS in the CM sector to advance friend-shoring objectives, this paper argues that CM supply security has been incorporated into the expanding conception of national security underpinning Australia's FIS regime, thereby reinforcing its role as a strategic instrument amid intensifying geopolitical tensions. It further demonstrates that Australia's selective FIS restrictions on Chinese CM investment, particularly retrospective divestment orders and disproportionate interventions, may contravene its obligations under IIAs with China, especially where procedural transparency is lacking.

Importantly, Australia's approach is not exceptional but emblematic of a broader global shift. In response to escalating geopolitical competition over access to CM resources, major economies such as the US, the EU, Canada, and Japan have similarly prioritized friend-shoring as a core strategy for CM security and restructured their FIS regimes to embed selectivity into both institutional design and enforcement. The substance of friend-shoring selectivity in FIS implementation lies in the shift of states that historically upheld the liberal economic consensus toward more nationalist directions. This shift, together with declining faith in multilateral institutions such as the WTO, has resulted in growing challenges to the constraints imposed by international agreements. As relevant to this paper, the expansive and potentially coordinated invocation of national security by developed economies, including Australia, risks pushing the boundaries of the security exceptions in WTO law and IIAs in ways that strain both the legal coherence and the functional resilience of the international trade and investment law system.

As FIS regimes continue to proliferate across jurisdictions, States must confront the challenge of balancing openness with strategic autonomy through targeted foreign investment governance, that is, the discipline to exercise national security discretion within a framework grounded in transparency, non-discrimination, and proportionality. In parallel, this global shift necessitates a more

²⁰² ChAFTA, supra n. 93, art.9.9.3(b).

²⁰³ L. Nottage (2024) 'Australia's Ambivalence Again around Investor–State Arbitration: Comparisons with Europe and Implications for Asia', *ICSID Review* 39(2), 323.

²⁰⁴ Qingjiang Kong (2023) *China's Foreign Investment Law amid Evolving International Investment Rules*. Springer, 114–115.

rigorous interrogation of the proper scope of national security justifications under both IIAs and WTO law. Such efforts are essential not only to sustaining the coherence, predictability, and normative legitimacy of the international investment regime but also to the possibility of restoring a liberal international economic order under the right future conditions.

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Annex A. Treasury-Published Decisions on Chinese Mining Investments

Time	Target	Investor	Type	Mineral	Decision	Explanation or Conditions
Jul-2008	Midwest Co	Sinosteel Corp.	Acquisition (97%)	Iron ores	Conditional Approval	Undisclosed
Aug-2008	Rio Tinto Plc	Aluminium Corporation of China	Acquisition (up to 14.99%)	Aluminium	Conditional Approval	Shareholding up to 14.99%; restrictions on board positions.
Sep-2008	Murchison Metals	Sinosteel Corp.	Acquisition (up to 49.9%)	Iron ores	Conditional Approval	Shareholding: up to 49.9%.
Mar-2009	Album Resources Private/OZ Minerals	China Minmetals Non-ferrous Metals Co.	Full acquisition	Aluminium	Rejection	The takeover included Prominent Hill operations in the Woomera Prohibited Area (WPA)
Mar-2009	Fortescue Metals Group	Hunan Valin Iron and Steel Group	Acquisition	Iron ores	Conditional Approval	Valin-appointed directors subject to Fortescue's Code of Conduct; segregate information access.
Apr-2009	Album Resources Private/OZ Minerals	China Minmetals Non-ferrous Metals Co.	Full acquisition	Aluminium	Conditional Approval	Operate acquired mines separately; maintain employment.
May-2009	Gindalbie Metals	Anshan Iron and Steel Group Corp.	Acquisition	Iron ores	Conditional Approval	Development undertakings: maintain ownership structure.

(Continued)

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Time	Target	Investor	Type	Mineral	Decision	Explanation or Conditions
Oct-2009	Felix Resources	Yanzhou Coal Mining Co.	Full acquisition	Coal	Conditional Approval	Mines must be operated through Yancoal Australia with Australian management and board requirements.
Jul-2010	IMX Resources/ Outback Iron Pty	Taifeng Yuanchuang International Development	Acquisition	Rare earth	Conditional Approval	Written confirmation from the Department of Defence regarding access to the WPA.
Dec-2010	Album Resources Private OZ Minerals	Minmetals Resources	Merger	Aluminium	Conditional Approval	Location requirements, market-based pricing, indigenous employment.
Mar-2012	Gloucester Coal	Yancoal Australia	Merger	Coal	Conditional Approval	List Yancoal Australia on the ASX by 2012; Ownership reduction
Dec-2013	Yancoal Australia	Yanzhou Coal Mining Co.	Merger	Coal	Change of Conditions	The significant challenges for the Australian coal industry.
Aug-2020	Northern Minerals	Baogang Group Investment (Australia) Pty.	Acquisition	Rare earth	Rejection	Undisclosed
Aug-2020	AVZ Minerals	Yibin Tianyi Lithium Industry	Acquisition	Lithium	Rejection	Undisclosed
Feb-2023	Western Range iron ore project	China Baowu Steel Group Co.	JV	Iron ore	Approval	Undisclosed
Feb-2023	Northern Minerals	Yuxiao Fund	Acquisition	Rare earth	Rejection	Undisclosed
Jul-2023	Nickel Industries	Shanghai Decent Investment Group	Acquisition	Nickel	Approval	Undisclosed
Jul-2023	Alita Resources	Austroid Corp.	Full acquisition	Lithium	Rejection	Undisclosed
June-2024	Northern Minerals	Yuxiao Fund and four Chinese-linked investors	Acquisition	Rare earth	Divestment	Undisclosed

Annex B. Japanese Acquisitions of Australia's Critical Mineral Producers From 2021 to 2023²⁰⁵

No	Time	Acquirer	Target	Minerals	Details
1	18 March 2021	Mitsubishi Corporation	Glencore Plc.	Bauxite	Mitsubishi acquired a 30% interest in the Aurukun Bauxite Project currently wholly owned by Glencore.
2	19 Sept 2022	Japan Australia Rare Earths (JARE)	Lynas Rare Earths Ltd.	Rare earth	JARE contributed US\$9 million in equity to Lynas Rare Earths to be applied to the exploration project at Mt Weld.
3	27 Sept 2022	Idemitsu Minerals Australia	Critical Minerals Group	Vanadium and copper-gold	Idemitsu Minerals Australia (a subsidiary of Idemitsu Kosan) acquired 32.22% of the IPO shares of Critical Minerals Group Limited.
4	26 Oct 2022	Idemitsu Minerals Australia	Vecco Group Pty Ltd.	Vanadium, rare earth, alumina	Idemitsu has invested an undisclosed amount in Vecco, which is developing the Debella Critical Minerals Project, a vanadium mine and an electrolyte plant in Queensland.
5	24 March 2023	Idemitsu Kosan	Vecco Group Pty Ltd.	Vanadium	Idemitsu made additional investment in the Debella Critical Minerals Project, representing 14.7% shareholding.
6	March 2023	JARE	Lynas Rare Earths Ltd	Rare earth	JARE made additional investment to be used for Lynas' mid-term growth plan (including expanding light rare earths production and commencing heavy rare earth separation).
7	20 Jan 2023	Idemitsu Kosan	Red Dirt Metals	lithium	Idemitsu Australia acquired a 2.76% shareholding in ASX-listed lithium leading West Australia-based lithium exploration company Red Dirt Metals.
8	14 June 2023	Idemitsu Australia	Delta Lithium	lithium	Idemitsu Australia increased its shareholding in the West Australia based lithium exploration company to 15%.

²⁰⁵Data sourced from H. Smith Freehills, 'Japan–Australia Investment Report 2021: The Year of Partnerships', HFS, 15 March 2022, <www.herbertsmithfreehills.com/insights/2022-03/japan-australia-investment-report-2021-the-year-of-partnerships>; Williams and Armstrong, supra n. 84); Williams, Roberts, and Tomiyama, supra n. 86).

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